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UNIT ONE: - BACKGROUND

1.1 Introduction

ASER Construction Private Limited Company is established in 2009. IT is a locally registered trading Construction Business Company working in Ethiopia to provide services in construction activities mainly on Road and Building Construction and Maintenance, Water Works, Air field Construction Projects etc. It is, also, registered with the Investment Office, Ministry of Urban Development & Construction and Ministry of Water Resources, Irrigation and Energy to do the same.

Aser Construction Private Limited Company has an organized staff; skilled & semi-skilled manpower consisting of Engineers, Technicians, Foremen, Administration Staff & other required skilled manpower with experience in the construction of civil works in order to achieve its long-term vision.

The rationale for the preparation of this Financial Management Policy and Procedure Manual (which includes financial management, financial accounting, Costing and budgeting guidelines, among others) is that the activities of Aser have been growing & expanding thereby demanding for modern and effective financial systems, policies and procedures that will serve as a means of source of information to the overall service operation, control and

safeguarding of the assets of the company to deliver its financial goals and objectives promptly.

This manual is designed in such a way that it can be applied both manually and in a computerized system. In order to design this manual, ASER's existing financial systems and procedures have been reviewed and areas of strengths and weaknesses have been identified and taken into account. Thus, as a result, this manual made to comply with the accounting standards, with laws and regulations, internal control mechanisms and the necessary formats for implementation.

The manual is, also, designed to accommodate flexibility. Aser Construction Private Limited Company may amend or change some of the policies, guidelines or the procedures to cope up with its needs and new developments as it grows and diversifies its activities or when change becomes necessary.

The Manual serves as a general guideline to ensure that the

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financial & accounting activities of Aser Construction Private Limited Company are carried out in a manner that meets the requirements and objectives laid down by management and in accordance with the prevailing financial rules and regulations of the country. It also enables to secure uniformity of financial activities across all different branches, plants and projects under the

corporate leadership of the General Manager of Aser Construction Private Limited Company.

1.2 Scope and Objectives of the Manual

This manual is designed to incorporate financial management, financial accounting, costing and budgeting guidelines to be used by all work units under the coordination and control of Finance & Investment Directorate of Aser Construction Private Limited Company.

The purpose of the manual is to adopt uniform and consistent financial and accounting working procedures and control within Aser. Such manual will facilitate control, reporting frame work and decision-making process at all levels.

In general, the manual has been developed to achieve the following objectives:

- 1.1.1 Enhance efficiency and effectiveness in providing services, as this is a core for the success of any business company.
- 1.1.2 Providing cost and financial information that allows the measurement of performance against strategic and planned objectives.
- 1.1.3 Supporting and facilitating of informed decision making at all levels of Aser.
- 1.1.4 Managing and control of Aser's resource, financial and material assets.
- 1.1.5 Fixing responsibility and accountability in financial/ accounting and resources management and performance measure of all work units;
- 1.1.6 Assist Aser to adopt improved internal control methods so as to enhance the efficiency of the overall managements of its operations;
- 1.1.7 Used as a day to day reference for the accounting personnel;

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- 1.1.8 Provide a means of the necessary accountability and adequate information to assist in decision making;
- 1.1.9 Achieving standardized and uniform operation in financial management and accounting of Aser;
- 1.1.10 To establish a proper internal control system.

UNIT TWO: - ACCOUNTING

2.1. Accounting Method and Period

2.1.1. Accounting method

An accounting method is a set of rules used to determine when and how income and expenses are recorded and reported. There are two basic accounting methods acceptable in accounting practice. The accounting methods employed may influence the financial reports. The two methods are accrual basis of accounting and cash basis of accounting.

The financial accounting records & reports of Aser shall be **Accrual Basis of Accounting Using Double-Entry SYSTEM** and shall be maintained in accordance with the **International Financial Reporting Standard (IFRS)**, the Commercial Code of Ethiopia, financial & tax laws of the country and other relevant laws and regulations as well as this manual.

2.1.1 Accounting Period

Aser Construction Private Limited Company shall use Ethiopian Government Budget Year as its accounting period which runs from July 8 of this year to July 7 of the next year.

2.1.2 Accounting Software

Aser Construction Private Limited Company shall use **Peachtree**

Accounting Software for recording of its financial transactions and

for preparation of its financial and management accounting reports. **ERP and Peachtree can be integrated** to increase the automation of the accounting and financial management activities.

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2.2 CHART OF ACCOUNTS

2.2.1 Definitions

The chart of accounts is the skeleton of financial accounting, financial management, costing and control in financial activities as it is a list of systematic classifications and coding of ledger and subsidiary ledger accounts by the groups they belong to in the balance sheet and in the profit and loss statement.

2.2.2 Purpose of the chart of accounts

The chart of accounts will help to summarize and prepare financial reports by line of business, Projects, branches, work units and by type of accounts. This type of reporting will facilitate decision making, financial control and performance evaluation of each line of business, Projects, branches and each work unit.

2.2.3 Classifications and coding Structure of the chart of accounts

2.2.3.1 Depending on the types of accounts, ASER's chart of accounts

has been classified into SIX Major Categories:

Starts with # Major Category Designation

1	ASSETS
2	LIABILITIES
3	CAPITAL
4	REVENUE
5	COST OF REVENUE
6	COST OF PRODUCTION
7	EXPENSES

2.2.3.2 Within the above major categories, the accounts are further sub classified into various sub category accounts depending on the type of accounts and on Asers's organizational structure (Ref. the attached chart of accounts);

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2.2.3.3 The following Subsidiary Accounts are also designed for each of the following general ledger accounts;

Subsidiary A/Cs A/C Designation Range (example for Alphabet A)

TD-A0001 Trade Debtors TD-A0001 to TD-A9999

BC-A0001 Billing to Customers BC-A0001 to BC-A9999

SD-A0001 Staff Debtors SD-A0001 to SD-A9999

RT-A0001 Retention RT-A0001 to RT-A9999

TC-A0001 Trade Creditors TC-A0001 to TC-A9999

2.2.3.4 Subsidiary accounts balance and the respective general ledger balance should be **EQUAL** at any time.

2.2.3.5 To enable the measurement of each department cost management or cost control and performance evaluation, the chart of accounts also designed as follows to track each work unit's expenses in a Cost Centre (CC) for each support work units.

GM General Manager Office

IA Internal Audit Services

ET DGM Engineering & Technical Services

VA Equipment and Vehicles Administration Dept.

VM Equipment and Vehicles Maintenance Dept.

CN Construction Dept.

EN Engineering Dept.

CP Construction Materials Production Dept.

MS DGM Management Supporting

LS Legal Service

IT ICT Service

HA HRD & Admin. Dept.

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FN Finance Dept.

PS Procurement and Supplies Mgt. Dept.

MK Marketing & Distribution Activities.

2.2.3.6 **Expense Accounts** have been classified in to the following coding structure to summarize and analysis of expenses. Expenses shall be categorized and presented separately as “**Selling and Distribution**” and “**General Administration**” Expenses. It starts with # “**71**”.

71-101-0001-9999	Personnel Costs	Expenses
71-102-0001-9999	Supplies and Stationeries	Expenses
71-103-0001-9999	Vehicle Running Costs	Expenses
71-104-0001-9999	Utilities	Expenses
71-105-0001-9999	Consultancy Services and Fees	Expenses
71-106-0001-9999	Communications	Expenses
71-107-0001-9999	Financial Charges	Expenses
71-108-0001-9999	Advertising and Promotions	Expenses
71-109-0001-9999	Travel Allowance and Prdiem	Expenses
71-110-0001-9999	Repair and Maintenance	Expenses
71-111-0001-9999	Marketing and Distribution	Expenses

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71-112-0001-9999 Other Expenses Expenses

71-113-0001-9999 Depreciation and Amortization Expenses

2.2.3.7 Marketing and Distribution Expenses shall be accumulated in the cost center “MK -Marketing and Distribution Activities”.

2.2.3.8 The chart of accounts also designed to track revenue, costs, and profit which will be used to evaluate each responsibility Centre’s (Investment Center, Profit Center, Revenue Center and Cost Centers) financial performance-profitability and cost control analysis of the respective centers.

2.2.3.9 Centers (work units, Projects, Plants, etc.) are responsible for cost control or/and maximization of revenue or profit. Projects are responsible for maximizing profit by controlling costs. The General Manager is responsible for overall profitability of ASER and his performance shall be measured by “adequate return on investment”.

All support work units are cost centers and responsible for minimizing costs through efficient and effective utilization of resources.

2.2.3.10 The following shall be a **Cost Center (CC)** or a **Profit Center (PC)** which is used to accumulate revenue and costs for the respective projects and plants.

PC-200 Real estate (Control A/C)

PC-201 Real estate

PC-300 Road Construction Projects (Control A/C)

PC-301 Bole Air Port Project

PC-302 Dukem Base Course Project

PC-303 Bole Road Project (central Workshop)

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PC-304	Ayat Project
PC-305	Meskel Flower
PC-306	Summit Lot 2 Project
PC-307	Summit Lot 1 Project
PC-308	Mexico Lot 4 A & B Project
PC-309	Mexico Lot 4 A & B Project
PC-310	Mexico Lot 3 Project
PC-311	Auto Bustere -Minilik Project
PC-312	Yeka Abado Project
PC-313	Bole Arabsa Project
PC-314	Bole Crusher
PC-315	Kesem Turmi & Jawi Project
PC-316	Koka-Adulala-D/Zeit Project
PC-317	Ehil Nigdna Senga Tera 40/60
	Condiminum
PC-318	Megenagna - Thorhailoch Lot 1 & 2
PC-319	Wellosefer - Urael
PC-400	Water work Projects (Control A/C)
PC-401	Goffa Project
PC-402	Gelan Project
PC-403	Eastern Project
PC-404	Lafto & Jemo Project
PC-405	Mai-Dagur & Mai-Weyni
PC-406	Mai-Dagur & Mai-Weyni
PC-407	Bethel Area Sewerage line project (Aser-IFH
PC-408	Koye Feche Water Supply Project

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PC-500 Own Plant Projects (Control A/C)

PC-501 Crusher Quarry Plant

PC-502 Belo Crusher Plant

PC-503 Bulbula Concrete Batching Plant

PC-504 Asphalt Batching Plant

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PC-505	Belo Concrete Pipe Production Plant
PC-506	Bole Airport Quarry Plant
PC-507	Kality warehouse (Central Workshop)
PC-509	Bulbula Rebar Workshop
PC-510	Bulbula Fuel Station

2.2.3.11 The above cost and/or profit centers shall be designed as Job Codes, Cost Code and Phase Codes. This coding structure can summaries construction costs and construction materials production costs and support work unit expenses in each respective cost center and/or profit center and shows each cost centers profitability and cost control performance.

2.2.3.12 The phase codes shall be the detailed cost and expense accounts under each cost centers (Ref. the Chart of Accounts).

2.2.3.13 Cost Accounts have been classified into the following coding structure to summarize and analysis of costs in a job costing method. Cost shall be categorized and presented separately as Cost of Construction/Services, Cost of Production, Valuation of Stock and Cost of Imported Goods.

2.2.3.14 Cost of Construction: It starts with “51”

- ✓ Labor
- ✓ Construction Materials
- ✓ Machine & Equipment
- ✓ Subcontractors
- ✓ Lease Costs
- ✓ Overheads

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2.2.3.15 Costs of Production: It starts with “61”

- ✓ Direct Labor
- ✓ Direct Materials
- ✓ Overheads

2.2.3.16 Costs incurred for production shall be charged to cost of production accounts at actual cost throughout the year.

2.2.3.17 Finished products transferred to store shall be charged to the respective Finished Products’ Accounts at **Standard Cost** of production.

2.2.3.18 Annually, standard unit cost of production for each product shall be developed by a Committee which consist of members from Engineering, Production and Finance Departments.

2.2.3.19 Annually, on July 7 every year, all unused raw materials delivered to plants shall be counted and reversed from cost of production respective accounts. Then, this reversal should be re-instated on July 8 every year.

2.2.3.20 Finally, annual **Under** or **Over Application** of standard costs shall be computed and an adjustment shall be passed by debiting or crediting of “Under or Over Application” account. This adjustment shall make cost of production to be **NILL**.

2.2.3.21 Valuation of stock items shall be made on the basis of moving average method.

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2.2.3.22 Please refer 12.3 polies and procedures for imported goods (GIT) costing.

2.2.3.23 **Stock/Inventory coding** in the general ledger has been classified as follows:

13-101-0001	GIT	Stock
13-102-0001	Construction Materials	Stock
13-102-0002	Construction supplies	Stock
13-102-0003	Stationeries	Stock
13-102-0004	Spare parts	Stock
13-102-0005	Stock-Raw Materials	Stock
13-102-0006	Production in Process	Stock
13-102-0007	Stock-Finished Goods	Stock
13-102-0008	Inventory Clearing A/C	Stock

2.2.3.24 **Stock items coding** shall be classified to segregate inventories in line to the above general ledger, to identify store location and to segregate the type of stock.

2.2.3.25 **Fixed assets coding** in the general ledger has been classified as follows:

18-101-0001	Office Furniture	Fixed Assets
18-102-0002	Office Equipment	Fixed Assets
18-103-0003	Computers and its Accessories	Fixed Assets
18-104-0004	Vehicles	Fixed Assets
18-105-0005	Plant & Machineries	Fixed Assets
18-106-0006	Buildings	Fixed Assets
18-107-0007	Land Improvement	Fixed Assets
18-108-0008	Leasehold Land	Fixed Assets
18-109-0009	Tools	Fixed Assets

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Other Fixed assets

Fixed Assets

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- 2.2.3.26 **Accumulated Depreciation** and **Depreciation Expenses** have been coded in the same way of the above fixed asset accounts' designation with their respective general ledger codes (Ref. the chart of accounts).
- 2.2.3.27 In general, Considering the reporting requirement and to fit in the computerized accounting system of ASER, the attached chart of account structure has been designed inline to the above coding structure (the detailed chart of accounts shall be issued in a separate manual).

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UNIT THREE: - CASH MANAGEMENT

3.1 Cash and Cash Equivalents

Cash includes currencies, coins, and amounts on deposit in bank accounts, checking accounts and savings accounts. Cash also includes items that are acceptable for deposits in these accounts such as customers' checks, cashier's checks, certified checks, CPOs and money orders. Cash is an important asset for every company and must be managed properly. Cash could be easily misappropriated due to its nature of light in weight and ease of transferability. Therefore, ASER needs to carefully control access to cash by employees and others who are sometimes inclined to take it for personal use. A good system of internal control for cash provides adequate procedures for protecting both cash receipts and disbursements.

The importance of cash is highlighted by the inclusion of a statement of cash flows in a complete set of financial statements. That statement identifies activities affecting cash.

Cognizant to these facts, the following general and account-specific policies and procedures have been developed for ASER.

3.2 Sources of Cash

- 3.2.1 Cash can be obtained through borrowing, owners' investments, and sales of stock, receipts from providing construction services, and by converting other resources into cash. Sales of fixed assets and scrap, interest income, sales of shares, etc. are also sources of cash

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3.3 Cash Policies

- 3.3.1 Only those employees who have been specifically authorized shall handle and keep cash on behalf of ASER.
- 3.3.2 All collection by a cashier or collection through ASER's bank accounts must be made against the issuance of serially numbered official "Cash Sales Invoice" which is produced with cash register or "Manual Cash Receipts Voucher" which is printed by the approval of Revenue Authority.
- 3.3.3 All cash collection should be deposited intact on the same date of collection, in the appropriate ASER bank account.
- 3.3.4 Cash received should be properly safeguarded, accounted for, and documented.
- 3.3.5 Under no circumstances shall disbursements be made from cash receipts.
- 3.3.6 Related duties such as cash collection, maintaining cash records, and reconciling cash records shall be segregated or separated. In case separation is not possible and accepted by ASER management, compensating controls such as strict individual accountability and through management supervision and review shall be instituted.
- 3.3.7 The cashier must not have access to financial records and documents.
- 3.3.8 There shall be monthly cash indemnity of a specified amount to cashiers to finance any cash shortages.

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- 3.3.9 Significant onetime shortage/overage or frequent and continues shortages/overages shall be reported to the Finance Manager.
- 3.3.10 Any temporary idle cash shall be invested in short-term maturing Investments-Saving Accounts, Treasury bill, etc.
- 3.3.11 Collections of cash on behalf of ASER should only be made through cashier or staff officially assigned by the Finance Manager.
- 3.3.12 All collections must be made against the issue of official cash register “sales invoice” or “manual cash receipts vouchers”.
- 3.3.13 All receipt vouchers must be sequentially pre-numbered. All unused receipts vouchers shall be kept under the custody of Finance Manager or delegated staff.
- 3.3.14 Printing of cash receipt voucher must be approved by the General Manager by the recommendation of Finance Manager.
- 3.3.15 Collections made after the bank’s closing hours shall be kept in the cash safe box and deposited in the following day.
- 3.3.16 All collection received must always be in the name of ASER.
- 3.3.17 Cash, receipts vouchers and checks should be kept in locked safes.
- 3.3.18 Cash on hand and in transit must be insured. The minimum amount shall be determined by the General Manager.
- 3.3.19 Any cash to be kept in safe shall not be in excess of the insured value.
- 3.3.20 Persons carrying cash for deposit or drawn from bank should appropriately be guarded. The minimum amount shall be determined by the General Manager.
- 3.3.21 Internal Auditors or persons assigned by Finance Manager can carry out surprise cash count at certain irregular intervals.
- 3.3.22 The cashier must be provided with a fireproof safe and also should be provided with a separate strong room and no one must be allowed entry unless authorized.
- 3.3.23 The cashier must not provide safe custody to third party money and if any is found in the designated safes such money should be considered ASER’s money and cash receipt voucher should be issued.
- 3.3.24 An appropriate investigation shall be conducted in cases where cash

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shortage is revealed and legitimate action taken to recover the shortage.

- 3.3.25 Any cash overages if not claimed and approved for their legitimacy shall be the property of ASER.

3.4 Collection Procedures

- 3.4.1 Internal control of cash receipts ensures that all cash received is properly recorded and deposited. Cash receipts arise from many **transactions including cash sales, collections of debtors'** accounts, receipts of interest and rent, bank loans, sales of plant assets, owners' investments, and sales of capital stock. The principles of internal control apply to all types of cash receipts.

For the purpose of internal control, the following procedures should be followed when cash is collected over the counter;

- 3.4.2 As per the law, cash register shall be installed at the counter of cash collection. The cashier shall issue **Sales Invoice** (Cash or Credit sales Invoice) for any sales and **Cash Receipts** for non- sales cash receipts. No cash shall be collected without issuance of sales invoice or cash receipts.
- 3.4.3 The cash register should be located so that customers can read the amounts entered.
- 3.4.4 The design of the cash register should provide a permanent, locked-in record of each transaction.
- 3.4.5 A person who has access to the cash in the register should not have access to its locked-in record.
- 3.4.6 A designated accounting clerk compares the record of the total register transactions with the cash receipts reported by the cashier's office and prepare the necessary journal entries. Discrepancies should be resolved at this level immediately.
- 3.4.7 Every day, the cashier will assemble all cash and cheques received and prepare the appropriate Bank Deposit slip and deposits the funds to the bank account opened in the name of ASER.
- 3.4.8 Daily cash sales summary shall be prepared by the casher are checked against the daily cash sales, Z report and bank deposits.

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3.4.9 The cashier will then submit the cash sales and receipt summary along with the necessary supporting documents such deposit slips to the designated accountant and then to Finance Manager.

3.4.10 After the accuracy of the summary and corresponding source documents are ascertained the accountant or assigned accountant in the Finance & Investment Directorate will check the summary with the detail and code, journalize and post to the accounting records.

3.5 Internal Control over Cash Receipts

3.5.1 Make sure receipt vouchers (cash receipt voucher, cash sales invoices, credit sales invoices, etc) are pre-numbered and printed by the order of the Revenue Authority.

3.5.2 Ensure all cash receipts (cash receipt voucher, cash sales invoices, credit sales invoices, etc) are recorded in the accounting system with reference of its serial number.

3.5.3 Ensure writings in cash receipt vouchers are printed or completed only in ink.

3.5.4 Ensure only one receipt voucher pad is issued to the casher against signature and that a new pad is replenished on finishing of the previous one

3.5.5 Reconcile the correctness of daily collections against daily bank deposits.

3.5.6 Ensure the right placement of carbons for copy receipt vouchers.

3.5.7 Make cash transfer through bank only.

3.5.8 Bank reconciliation should be done by an accountant independent of cash and cheque collectors, cashers and the receivable manager accountant.

3.5.9 Blank cheque must not be signed.

3.6 Disbursement

Disbursements made for purchase of goods and services shall be made in cash or through bank.

Disbursement through bank shall be in the form of check or CPO or bank instruction letter (Application Letters, Payment Letters and Bank Forms).

Cash payments will be made from PETTY CASH FUNDS (purchase fund, project fund, payroll fund, etc.).

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3.7 Petty Cash

The basic principle for controlling cash disbursements is that all payments are made through bank. An exception to this is payments to be made from PETTY CASH FUND. PETTY CASH FUND is a fund established to effect small and recurring cash payments. Any amounts other than small payments as stated by petty cash policy should be excluded. If companies made all payments by check, it would require numerous checks for small amounts. This system would be both time-consuming and expensive. To avoid this, ASER shall set up a petty cash funds Petty cash should be kept on the imp rest system whereby the Petty Cashier always maintains a fixed amount represented either by cash or receipts/vouchers. and uses the fund for the stipulated purpose only.

3.8 Petty Cash Policy

- 3.8.1 The petty cash fund should be maintained on the basis of imp rest system of replenishment with a float to be approved by the General Manager based on the recommendation of the Finance Manager.
- 3.8.2 Petty cash fund may be established at Head Office, Branches, Projects and Factory level.
- 3.8.3 Petty cash fund shall be operated by specifically assigned signatories and cashier or temporarily assigned staff.
- 3.8.4 The petty cash fund should be used under the conditions where there is an urgent need to purchase items/services and the amount involved is too small to justify the use of checks.
- 3.8.5 Petty cash should not be used to purchase items where the formal purchase procedures are feasible.
- 3.8.6 The amount of the petty cash float should be reasonable in relation to budgeted cash requirements.
- 3.8.7 The maximum amount to be expended at a time out of a petty for each petty cash holder shall be determined by management.
- 3.8.8 Disbursement from petty cash should be made using pre-numbered petty cash payment voucher.
- 3.8.9 There should always be initiating document for the preparation of petty cash voucher which must be authorized by delegated authority.
- 3.8.10 The recipient, for whom payment is made out of petty cash, should sign in the petty cash payment voucher or a receipt should be received and attached with the petty cash voucher.
- 3.8.11 Petty cashier should not have access to the accounting records or check book other than petty cash vouchers, payment

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request form and petty cash summary sheet.

3.8.12 Petty cash should be kept separate from other cash collections.

3.8.13 Petty cash voucher with supporting documents must be stamped “PAID” at the time of payment.

3.8.14 A petty cash shall be replenished before it is completely exhausted. Generally, the fund shall be replenished when 75% of it is used.

3.8.15 All replenished vouchers must be stamped “REPLENISHED” and referenced to the check payment voucher number and date by which replenishment was made or effected.

3.8.16 Internal Auditor, or a person assigned by Finance Manager should make periodic surprise cash count.

3.8.17 The petty cash custodian shall comply with all rules and regulation of cash service.

3.8.18 Any advance taken from the petty cash shall be cleared within three days or after returned in the case of travel advance.

3.8.19 Revision of the established petty cash fund can be made during the budget year or at the beginning of the budget year of ASER. The procedure to re-establish the fund is similar to the original establishment. The revision request can come from the unit for which the petty cash is established.

3.8.20 The petty cash custodian [petty cashier] and the Head of Coll.

& Dis. Div. shall be jointly and severally responsible for any mal-operation of the petty cash fund.

3.9 Petty Cash Establishment Procedures

3.9.1 Work units which need to have petty cash fund shall submit the request to the General Manager or delegated authority.

3.9.2 The requisition letter shall contain the following:

- ✓ Whether the requesting work unit has approved budget or not;
- ✓ Frequency of the payments;
- ✓ The main activities and scope of the work unit;
- ✓ In case of a project, the distance of projects from bank;
- ✓ The request shall be forwarded to Accounts;

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- ✓ The Accounts shall analyze the volume of work versus the approved budget and shall give its recommendation.
 - ✓ Based on the recommendations of the Accounts and certification by Finance Manager, the General Manager shall approve the establishment of the petty cash.
- 3.9.3 Departments or work units who authorized to handle the transaction could fill payment request form.
- 3.9.4 The petty cash payment request form should be presented with the supporting document to the authorized person for approval.
- 3.9.5 Approved petty cash payment request form, with supporting documents, shall be forwarded to the disbursement accountant for checking and verification to ensure the following:
- ✓ That this payment request is authorized as per delegation of authority.
 - ✓ That the supporting documents are genuine and proper
 - ✓ The amounts in figures and words agree
 - ✓ That proper narration is given as purpose of payment;
- 3.9.6 Then, disbursement accountant shall prepare Petty Cash Payment Vouchers and authorized by authorized authority.
- 3.9.7 Approved Petty Cash Payment Voucher shall be delivered to the cashier;
- 3.9.8 The cashier verifies the authorized signatories and amount in figures and in words.
- 3.9.9 The cashier insures the payments are made to the right person by looking at the identification card of the payee. Cashiers

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insure the payee signatures for receipt is the same as the one on the identification card or receive cash receipt and then pay the cash.

- 3.9.10 Paid petty cash payment vouchers are registered in the petty cash report and reimbursement request form after they are **stamped "PAID"**;
- 3.9.11 The petty cash report and reimbursement request form attached with petty cash payment voucher's (P.C.P.V) and original payment request form is delivered to the Accounts.
- 3.9.12 The Accounts receives and checks for correctness of all vouchers in all aspects and signs for receipt of the report and its attachment on the copy of the petty cash payment reports and reimbursement request form.
- 3.9.13 Replenishment shall be made only to the sum of amounts of the undisputed vouchers.
- 3.9.14 The disputed vouchers shall be returned to the cashier on signing for receipt of the returned vouchers.
- 3.9.15 The undisputed reimbursement requests shall be passed for replenishment by a cheque.
- 3.9.16 The request and approval of re-establishment of a petty cash fund shall follow the same procedures as establishment of petty cash fund.
- 3.9.17 The newly established petty cash fund shall follow the same cycle of the above replenishment and recording.

3.10 Disbursements through Bank

3.10.1 Disbursements through Bank Policies

- 3.10.1.1 ASER shall have various bank accounts as required with private Banks and commercial Bank of Ethiopia.
- 3.10.1.2 Delegation of opening, assignment of signatories and closing of bank accounts shall be the authority of the General Manager.
- 3.10.1.3 All cash disbursement above petty cash limit must be made by check or CPO or transfer letter or bank forms and applications.
- 3.10.1.4 Transfer letter includes letter instructions, CPO and payments other than check;
- 3.10.1.5 Payments through bank by cheque should be made using pre-numbered payment voucher or letter of instruction.
- 3.10.1.6 Every check must be accompanied by payment voucher and

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should be based on authorized supporting documents.

3.10.1.7 New check pads should be received from banks only by one of the designated signatories or officially delegated person.

3.10.1.8 New checks pad must be kept with one of check signatory.

3.10.1.9 Check stubs of used checks should be kept with Accounts until the books of accounts are audited.

3.10.1.10 Spoiled, incorrectly filled, canceled checks must be marked

“void” and kept pinned to the check stab.

3.10.1.11 At any circumstance, blank checks should not be signed.

3.10.1.12 No check shall be issued unless it is sure that sufficient cash is available in the bank.

3.10.1.13 Checks shall not be prepared in the name of ASER’s bank signatories unless it is legitimate payment attributable to these signatories.

3.10.1.14 Any signed check, if not collected/cashed by the payee within six months shall be made void and a liability shall be recognized.

3.10.1.15 Any advance payments must be cleared in limited time interval as stated in this manual.

3.10.1.16 Bank reconciliation should be made by persons who do not issue and record checks.

3.10.1.17 Missed check books or leaf/leaves must be reported to the bank immediately.

3.10.2 Disbursement through Bank Procedures

3.10.2.1 New check pad received from banks shall be verified for correctness up on receipt from the bank’s counter.

3.10.2.2 The new check pad must be issued according to their sequence to disbursement accountant after signing on the **check control register book**. Before the issuance of new pad, the used pad should be verified for complete use of the check leaves.

3.10.2.3 A pre-numbered bank payment voucher is required before writing of a check.

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- 3.10.2.4 Checks and Bank payment vouchers should be used in sequential serial number order.
- 3.10.2.5 There should always be authorized initiating payment requests for the preparation of check payment voucher.
- 3.10.2.6 The payment request form should be presented with the supporting document to the authorized person for approval.
- 3.10.2.7 Approved payment request form shall be forwarded to the disbursement accountant for checking and verification to ensure the following:
- ✓ Insure payment request is authorized as per delegation of authority.
 - ✓ That the supporting documents are genuine and proper
 - ✓ The amounts in figures and words agree
 - ✓ That proper narration is given for the purpose of payment;
- 3.10.2.8 Disbursement accountant checks for validity of documents and prepares payment order and bank payment voucher.
- 3.10.2.9 The bank payment voucher should be approved by one of the check signatory.
- 3.10.2.10 Check is prepared in the name of the payee only after the correctness of the documents accompanying the payments.
- 3.10.2.11 Figures and words in the check shall be printed either by type or computer printer or ballpoint pen. Writing of figures and words in a check should start close to the pre-printed words and there shall not be any space left for abuse.
- 3.10.2.12 Disbursement accountant should not have access to the accounting records other than payment vouchers, payment request form and summary sheet.
- 3.10.2.13 Travel advance should be cleared within five working days after completion of the job or after returned from field as the case may be;
- 3.10.2.14 Staff salary fund should be cleared within 10 days of the next month.
- 3.10.2.15 Work advance should be cleared within 5 days after the completion of the work.
- 3.10.2.16 No advance will be given for the same person before clearing the previous advance.
- 3.10.2.17 However, all advances and suspense accounts must be closed before

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the end of the budget year.

- 3.10.2.18 Missed check books or leaf/leaves must be reported to the bank immediately quoting the serial number of the missing checks and requesting for “**STOP PAYMENT**” order.
- 3.10.2.19 The check stab must always be completed for each check leaf.
- 3.10.2.20 The check is signed by authorized signatories and handed over to the recipient against an official receipt in the case of established organizations or the recipient signing on the bank payment voucher. Where the beneficiary fails to collect on time, the check shall be kept in a safe box.
- 3.10.2.21 At the end of each month, the ending cash balance reported in the bank statement should be reconciled with the ending cash at bank balance in the book of ASER.

3.10.3 Work Advance (for Projects, Factories, Branches, etc.)

3.10.3.1 Work Advance Policies

- 3.10.3.1.1 Projects or Factories (if any) or Branches may have their own current bank account, operational bank account, to be used for financing their operations.
- 3.10.3.1.2 The General Manager shall appoint and authorize the opening and signatories of Projects or Factories or Branches bank accounts.
- 3.10.3.1.3 All Projects or Factories or Branches work advances shall be transferred to their respective bank accounts based on their operational budget.
- 3.10.3.1.4 Work advances should be used in accordance with the activity plan (operation plan).
- 3.10.3.1.5 Monthly settlement reports should be submitted to the Accounts.
- 3.10.3.1.6 The fund of Projects or Factories or Branches should not be used for another Projects or Factories or Branches without the prior approval of the Finance Manager.

3.10.3.2 Work Advance Procedures

- 3.10.3.2.1 According to the approved budget, Projects or Factories or Branches should request their monthly or quarterly working fund from Finance Office.
- 3.10.3.2.2 The second request for fund should not be made before at least

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75% of the previously transferred fund is utilized and the

progress of the work has been reviewed through narrative and financial reports.

3.10.3.2.3 Projects or Factories or Branches advance shall be released based on status of job completion, job requirement and settlement of previously released fund.

3.10.3.2.4 Every fund transfers to Projects or Factories or Branches through banks and other means should be acknowledged by through official letter with a copy of bank credit advice and/or cash receipts.

3.10.3.2.5 Before the 10th day of the next month, Projects or Factories or Branches should present the financial reports; budget utilization report, submitting ALL original financial documents, Bank statement supported by adequate documentation to Finance Department.

3.11 Other Payments

Different payments as stipulated in ASER Human Resource policies and procedures such as:

- ✓ Responsibility allowance
- ✓ Work men composition
- ✓ Severance pays
- ✓ Annual live payments
- ✓ Incentives and another employees' benefit
- ✓ Overtime payments, etc. shall be treated as per the

Human Resource Policies and Procedures.

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3.12 Internal control over payments

- 3.12.1 Assign only a responsible cashier to each petty cash fund in writing.
- 3.12.2 Each petty cash fund must be operated on imp rest system: i.e. the fund amount is always equal to the sum of the petty cash on hand plus the vouchers paid from the fund.
- 3.12.3 Segregate, keep separately, petty cash funds from the cash collections and other funds.
- 3.12.4 Ensure surprise cash counts are made by accountants independent of the cash routine work.
- 3.12.5 Ensure petty cash payments at a time are not exceeded from the preset upper amount and insured amount limit.
- 3.12.6 Petty cash payment vouchers (PCPV) should be prepared by someone other than the cashier.
- 3.12.7 Ensure P.C.P. V's are serially pre-numbered.
- 3.12.8 Ensure entries in the P.C.P.V.'s is completed in ink.
- 3.12.9 Signatories must be of senior staff position and other than the custodians of the petty cash fund.
- 3.12.10 Check each payment request for availability budget and authorization of the payment by the authorized authority.

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3.12.11 Ensure adequate review of petty cash payment vouchers and

Original supporting documents are attached.

3.12.12 Make sure that the petty cash replenishment is made by cheque to the petty cashier.

3.12.13 Ensure P.C.P.V.'s and their attachments are stamped "paid" or "Replenished" immediately after payment and replenishment respectively.

3.12.14 Ensure replenishment cheques are collected by the cashier after signing on the cheque payment voucher.

3.12.15 Ensure all petty cash funds are moving and reported or accounted for.

3.12.16 Insurance policy should be obtained for cashiers against fidelity.

3.12.17 Cash in safe at any time should not exceed the insured amount.

3.12.18 Ensure that cheque preparations are made by employees independent of voucher and invoice approvals, purchase and store receipts or cashiers.

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3.12.19 Ensure all payments above petty cash limit are made in cheques.

3.12.20 Ensure that the duties of cheque payments, receipts, deposits and recordings are segregated.

3.12.21 Assign at least two authenticated bank account signatories, one of which is from Finance Department.

3.12.22 Ensure availability of sufficient balance in Bank accounts before cheques are released or issued.

3.12.23 Ensure that cheque signatories are authorized by the General Manager.

3.12.24 Ensure cheque preparations, collections and disbursement duties are free from cheques signatories.

3.12.25 Avoid the signing of blank cheques.

3.12.26 Prior to the preparation of cheque payment vouchers, ensure the validity, properly authorized, and correctness of the attachments are ORIGINAL supporting documents and are properly compared to purchase orders, vendors' invoices, goods received note. Etc.

3.12.27 Ensure payments to be made are properly budgeted and

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referenced with budget source.

- 3.12.28 Ensure cheque payment vouchers are prepared on the basis of original suppliers' invoices only, not from a supplier statement of account.
- 3.12.29 Ensure the entering of cheque numbers on the relevant cheque payment vouchers as well as in the payment voucher register of the accounting system.
- 3.12.30 Ensure that payment vouchers and check supporting documents are stamped with a "paid" stamp to avoid double payment.
- 3.12.31 Ensure that cheques are pre-numbered and used in sequential order.
- 3.12.32 Check and account for missing number of cheques from cheque pad and cheques must be fully accounted for.
- 3.12.33 Ensure that the signature part of the spoiled cheques is properly attached mutilated and retained to cheque stab for future review.
- 3.12.34 Ensure Bank reconciliation statement preparation is done by an independent person not involved in the preparations of cheques and deposits.
- 3.12.35 Check all cheque payments shown on the register against Bank Statement and note the differences.
- 3.12.36 Ensure that accounting action is taken on unrecorded reconciliation items.
- 3.12.37 Check all deposits are included in the Bank Statement.
- 3.12.38 Ensure that Bank reconciliation statement are prepared, reviewed, initialed and dated by the reviewing official.
- 3.12.39 Ensure bank statements are properly filed for future references.
- 3.12.40 Any bank error should be notified to the bank within 15 days from the last date of each month.

3.13 Bank Reconciliation

A bank reconciliation statement is a statement prepared to reconcile the differences between the month end balances as shown on the bank statement with the monthly end balance as shown on the bank's account general ledger. The book balance may not agree with the balance in the bank statement. Therefore, bank reconciliation is necessary. In view of this, to prepare bank reconciliation statement on monthly basis is mandatory. The following

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guidelines should be used in the process of preparing the bank reconciliation statement.

3.13.1 Bank Reconciliation Procedures

- 3.13.1.1 Update monthly the posting to cash or bank ledger account records.
- 3.13.1.2 Identify checks that are canceled during the month and checks issued are posted to the cash or bank-ledger or registered in the bank's account general ledger.
- 3.13.1.3 Ensure that all daily deposits are posted to the cash or bank ledger or registered in the cash/bank book.
- 3.13.1.4 As the policy dictates, cash has to be deposited daily. Ensure that the ledger or the register contains daily deposit.
- 3.13.1.5 Make sure that monthly bank statements are received from respective banks.
- 3.13.1.6 If different accounts are maintained in a bank or in several banks, each bank account should have separate ledger or register book.
- 3.13.1.7 Those who are involved in handling cash or checks should not carry out bank reconciliation;
- 3.13.1.8 Bank reconciliation, preferably, for documentation purposes, should be done manually;
- 3.13.1.9 Ensure that you reconcile bank to book balances (refer bank reconciliation format);
- 3.13.1.10 Documents required for bank reconciliation is previous month bank reconciliation statement, updated general ledger of the month and bank statements of the month form bank;

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- 3.13.1.11 Make sure that each payment made by check and recorded in the ledger or register is the same amount withdrawn from the bank account (by giving cross reference number).
- 3.13.1.12 Make sure that each deposit in the ledger card or register is shown as deposit in the bank account for the same amount (by giving cross reference number).
- 3.13.1.13 Identify any deposit or payment shown in the bank but not shown in the ledger or register.
- 3.13.1.14 Identify any deposit or payment shown in the ledger/register not shown in the bank.
- 3.13.1.15 Identify whether the payments/deposits shown in the bank account but not shown in the ledger/register;
- 3.13.1.16 Identify whether the payments/deposits shown in the ledger/register but not shown in the bank;
- 3.13.1.17 Identify whether the payments shown in bank but not in the ledger are made through authorization by letter, by means of letter of credit (L/C), contractual agreement, by standing bank instruction, etc.
- 3.13.1.18 Identify whether the deposits shown in the bank but not in your ledger or register are made by third party -i.e. clients, suppliers, the Bank, etc.
- 3.13.1.19 Identify whether the payments/deposits shown in the bank but not in the ledger are bank charges, interest or L/C margin. If so, obtain bank documents for bank charges and

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L/C margin from your bank or file and act accordingly. Interest income or expense could be posted to ledger by referring to the bank statement and source document could be obtained from bank subsequently.

- 3.13.1.20 For any unidentified deposits or withdrawals from bank account, immediate contact should be made with the bank to settle the issue. In principle there should not be unidentified items in any bank reconciliation exercise.
- 3.13.1.21 Deposits are normally assured by bank stamp and signature but it is always advisable that accountants check with bank to confirm the same.
- 3.13.1.22 Make sure that proper documents are obtained and recorded in the accounts for deposits made to the bank account without prior knowledge of ASER.
- 3.13.1.23 Make sure that in the subsequent month bank reconciliation statement shows payments/deposits of previous month not recorded in the bank statement of last month. If outstanding deposits of current month are not shown in the following month bank statement, bank should be contacted and investigation should be made to know the exact situation.
- 3.13.1.24 When material errors are noted in the bank ledger card corrections should be made immediately and if error is with bank, bank should be notified to make the corrections with immediate effect.

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3.13.1.25 After reconciliation, make sure the bank statement balance as per bank statement and the book balance as per the general ledger are reconciled, the SAME.

3.13.1.26 Bank reconciliation statement shall be approved by Finance Manager.

3.13.1.27 The bank reconciliation statement should be prepared in two copies at the end of each month. The distribution is: first copy to the Head of the Finance and the second copy shall be retained by the reconciliation accountant for reference file.

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3.14 Cash Shortage Allowance

3.14.1 Policies and Procedures

- 3.14.1.1 Cash shortage allowance, approved in HRM manual, shall be paid to a cashier or incumbent who is involved in handling cash.
- 3.14.1.2 Cash shortage allowance shall be paid to a cashier or incumbent for the time he/she is on the cashier's job. Cash shortage allowance shall not be paid for the time when he/she is not at a cashier's work.
- 3.14.1.3 The first twelve months' cash shortage allowance of a permanent cashier shall be kept as a reserve in the name of the assigned cashier.
- 3.14.1.4 The reserved cash shortage allowance shall be paid to a cashier when he/she ceased to be a cashier.
- 3.14.1.5 After twelve months' cash shortage allowance, has been reserved, the monthly cash shortage allowance shall be paid monthly.

3.15 Payroll Preparation

3.15.1 Payroll Policies

- 3.15.1.1 The pay day shall be determined by management depending on the nature of the work and employee type.
- 3.15.1.2 Payments of salaries and wages should be made through the employee's bank account or to the employee or to his representative when delegated by the employee in writing.

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3.15.1.3 Payroll shall be computed as per the government income tax laws and regulations.

3.15.1.4 An employee shall be included in the payroll register based on an employment letter authorized by the General Manager or delegated authorized authority.

3.15.1.5 All deductions from the gross salaries of any employee must be statutory, administrative and/or to which he/she had given his/her consent in writing.

3.15.1.6 Payroll must be authorized and approved by Finance Manager.

3.15.1.7 Unclaimed salary within 7 days shall be deposited into bank and recorded as unclaimed salary in his personal account.

3.15.2 Payroll Procedures

3.15.2.1 All work units must submit any additions or deductions to and from an employee salary up to 25th day of every month, including properly recorded time cards, attendance sheet, list of absenteeism, overtime worked as properly authorized, increase in pay if any, commission to be paid and such other relevant data essential for the preparation of payroll.

3.15.2.2 Other standing information such as rate of pay, allowances, etc. shall be made available to payroll accountant at the time of employees' employment.

3.15.2.3 On the 26th day of the month payroll accountant shall review the payroll input data mentioned in 11.2.2 above and other

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employee data base and preparation of payroll shall commence.

- 3.15.2.4 Payroll shall be prepared by the payroll accountant from 26th to 27th days of the month.
- 3.15.2.5 General accountant or Senior Accountant or other delegated person shall then check the payroll for the accuracy, completeness, authenticity, additions and deductions, and pass the same to Finance Manager, Branch Manager, Project Manager or Factory Manager for approval on the 28th day of the month.
- 3.15.2.6 Finance Manager, Branch Manager, Project Manager or Factory Manager, as appropriate, shall approve their respective work unit payroll on 28th day of the month.
- 3.15.2.7 Payroll payment shall be prepared and signed on the 29th day of the month.
- 3.15.2.8 Pay day shall be on the 30 day of every Ethiopian calendar month. Payment shall be through bank or in cash depending on the arrangement.
- 3.15.2.9 Payroll payment in cash shall be paid against the signature of the respective employees on the space provided in the payroll sheet.
- 3.15.2.10 Salaries not claimed within 7 days of the next month must be redeposit to bank as unclaimed salaries to be paid later up on written request of the employees' work unit.

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3.15.2.11 Disbursement accountant or other appropriate finance staff shall be responsible for timely declaration and payment to the designated authorities of statutory taxes and pension contributions.

3.15.2.12 All payroll deduction payable to third parties shall be paid within 15 days of the next month.

3.16 Accounts Receivable

Accounts receivable is money due from third parties which arise from trade, advances in the form of cash, services provided, etc. Receivables in ASER include receivable from customers, work advances, travel advances, purchase advances, deposits and prepayment, services receivable, sundry debtors, etc.

3.16.1 Trade Debtors

Trade debtors refer to all claims that arise under the normal operation of the business enterprise. They could arise from sales of goods or services on credit basis. The trade receivables might be one of the major current assets sections of the balance sheet. When ASER extends credits directly to customers, it must maintain a separate receivable subsidiary account for each customer and one general ledger account. Such record is helpful to analyze the credit worthiness of each customer.

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3.16.2 Trade Debtors Policies

- 3.16.2.1 ASER, after assessing the nature of the business, existing competition and considering the level of income of customers, it shall develop its own credit policy.
- 3.16.2.2 The credit policy shall include guidelines on screening credit customers, credit approval procedures, specification of the credit period any cash and trade discounts to be allowed, collection procedures and penalty for delayed payments or delinquent accounts.
- 3.16.2.3 The credit control, delivery and invoicing function should be separate from one another and from the accounts recording.
- 3.16.2.4 Delivery of credit sales will normally be made on pre-numbered delivery order approved by the General Manager or delegated official and signed by the customer or his designated representative for receipt of goods.
- 3.16.2.5 On the basis of customers' purchase order and delivery order

note the customer should be credit invoiced immediately..

- 3.16.2.6 Each invoice should be recorded in the subsidiary ledger in its name with reference of the invoice number. Recording of several invoices in one entry is strictly forbidden.
- 3.16.2.7 Pre-numbered credit sales invoice shall be prepared in adequate copies when credit invoicing customers and shall be cross- referenced with delivery orders. The invoice should bear all pertinent information such as the name and address of the

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buyer, invoice date, description of goods delivered or services rendered, buyers purchase order number, delivery order note number, the gross and net amount, discount rate and amount, terms of payment, the name and title of persons issuing the purchase order, etc.

- 3.16.2.8 Upon receiving copy of invoice, accounts shall check that the information listed above is duly completed. If there is missing information, persons in charge should be inquired to furnish the required data.
- 3.16.2.9 Adequate safeguards must be employed to ensure that goods may only leave the premises against paid cash sales invoice or properly approved delivery notes.
- 3.16.2.10 Settlement of trade debtors is effected either through bank or at the counter to cashier or authorized collector.
- 3.16.2.11 When settlement is made by depositing in ASER bank account, the following information shall be obtained from the customer upon receiving the bank advises or deposit slip [to which purchase order, delivery order and invoice number the settlement is made.
- 3.16.2.12 If partial settlement is made, advice client in writing indicating the invoice is partially settled [short payment]. A copy of the letter should be attached with the receipt or bank advice note.
- 3.16.2.13 If the trade debtor's transaction is considerable [significant], a collector can be employed to handle the task.
- 3.16.2.14 Analysis of outstanding receivable by age will have to be prepared for management use, i.e. Status of collection should be reported to management every month by aging.
- 3.16.2.15 For each customer, a follow-up file can be opened in their name.

For easy reference and follow-up documents like contract, statement of account, copy of correspondence letters both from ASER and the client shall be filed.

- 3.16.2.16 When a dispute regarding invoice, settlement arises, it should be reported to management for immediate action. Note that delay in reporting the matter on time entails complication of matters arising from change of personnel.
- 3.16.2.17 All subsidiary accounts and the general ledger should be reconciled and confirmed at the end of each fiscal year.
- 3.16.2.18 Legal action will have to be taken on those debtors who failed to pay their debt on due time
- 3.16.2.19 An allowance for estimated uncollectable receivables will have to be established at the end of every year to provide proper income

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measurement and asset valuation. Estimation will have to be made based on past experience of ASER or that of the industry depending on feasibility. The allowance for bad debts should be based on aging of receivables.

3.16.2.20 All bad debts that prove as uncollectable shall be written off only with the authorization of General Manager based on Finance Manager's recommendation.

3.16.2.21 Any credit balance appearing in the subsidiary ledgers must be carefully examined for errors of recording before any action is taken.

3.16.3 Debtors Procedures

3.16.3.1 When goods or services are sold to a customer, a credit sales invoice shall be prepared.

3.16.3.2 All credit sales invoices should be pre-numbered and accounted accordingly.

3.16.3.3 Based on the credit invoice, the general accounts will record the total money claims from the customer in a subsidiary ledger.

3.16.3.4 A credit invoice shall be printed in three copies out of which the one is given to the client, one to accounts and one to stores. The General Manager or a person delegated shall approve credit sales invoice.

3.16.3.5 On the basis of the credit invoice, the general ledger account - trade debtors "accounts receivable" and subsidiary ledger identified by name and I.D of credit customer is debited and contra entry will be credited to sales account.

3.16.3.6 When credit sales are collected, a manual cash receipt voucher shall be issued to the customer whether it is paid through bank or in cash on the counter to the cashier.

3.16.3.7 When settlement is made through bank, indicate the purchase order, delivery order note number and invoice number on the credit advice or deposit slip and a cash receipt voucher shall be issued.

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3.16.3.8 If payment is settled via ASER cashier or collector the cashier should be instructed to indicate the invoice number, purchase order and delivery order on the cash receipt voucher.

3.16.3.9 Based on the duly completed cash receipt, deposit slip or bank credit advice accounts shall post to ledger by indicating “in settlement of Invoice No.”.

3.16.3.10 Every settlement of invoice should be traced as to which invoice is settled before posting to ledger.

3.16.3.11 Bad Debt Expense should be recognized in the accounts of ASER at the end of each fiscal period through adjusting entries. The adjusting entry is to debit ‘Bad Debts Expense’ and credit ‘Allowance for Bad Debts’.

3.16.3.12 When the General Manager approves writing off an outstanding receivable, the allowance for doubtful accounts will be debited and the receivable account and specific customer account will be credited.

3.16.3.13 Any credit balance appearing in subsidiary ledgers on the balance sheet date should be transferred to the current liabilities side if it represents a refund to customers for over payment.

3.16.3.14 Coll. And Disb, Head and other delegated accountant is responsible for the collection and settlement of outstanding accounts.

3.16.4 Statement of Debtors Account

As stated in the above policy, statement of accounts should be

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produced monthly and sent to the customers for confirmation. The basis of information for the preparation of a statement of accounts shall be the trade debtors' subsidiary ledger. When preparing the statement of account, the following information should be clearly written.

- ✓ Date
- ✓ Invoice number as indicated on the ledger card
- ✓ On the column 'particulars' write the clients purchase order number.

If there is enough space indicates the type of goods sold or services rendered. For the debt part and for the credit transaction settlement indicate settlement of invoice number and Receipt No..

After the statement is completed, it shall be sent to the client every month and advice the client to confirm through strict follow up.

The statement of account should be sent to the customer along with the following covering letter.

3.17 Staff Advance

- 3.17.1 Staff Advances are moneys advanced to staffs of ASER which includes Salary Advances, Travel and Perdiem Advances, purchase Advances, and staff loans, etc.
- 3.17.2 **Salary advances and loans** must be approved in accordance with ASER's HRM policies and procedures by the authorized authority.
- 3.17.3 Salary advances and staff loans must be recovered within the time stipulated in the agreement or HR manual.
- 3.17.4 Travel and per diem advances are moneys advanced to

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employees for approved business travels. Travel advances must be approved only for official business of ASER.

3.17.5 Travel advances rate should be according to ASER's Human Resource policies and procedures.

3.17.6 Travel Advances must be cleared in full within 5 days after return from trips.

3.17.7 Additional advances must not be given to the same staff before settlement of the previous advance.

3.17.8 Purchase advances are mainly advances given to employees for purchase of goods or services required for Aser's activities. Purchase advances are made in cheques in favor of the vendors or purchaser or other staff.

3.17.9 Purchase advances should be cleared within five days against the receipt voucher of the supplier and goods-received note (GRN).

3.17.10 Purchase advance made in cash, if any, should be liquidated within three days.

3.17.11 Additional purchase advances should not be given if there are

Unreasonably accumulated, unsettled, previous advances.

3.18 Prepayments

3.18.1 Prepayments are moneys disbursed that will be reimbursed or expensed in the future. These include unexpired rent, unexpired insurance premium, etc.

3.18.2 Unexpired portion of prepaid expenses is recognized and adjusted to the respective receivable account and the expired

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portion shall be recorded or transferred to the respective expense or cost accounts as at the end of the fiscal period;

3.19 Fixed Deposits

- 3.19.1 Fixed deposits represent refundable deposit made as per contractual agreement. Such deposit includes deposits made to Ethiopian Electric Utility, Ethio Telecom, Water and Sewerage Authority, performance bond, bid bond, etc.
- 3.19.2 On the basis of the original receipt obtained from the concerned organizations, the amount is debited to receivable account with a contra entry to either cash or bank account.
- 3.19.3 The receipts for utility deposits are kept in safe for future claim
- 3.19.4 Refund shall be credited to the same by debiting either cash or bank account.
- 3.19.5 Subsidiary ledger can be maintained by code number by type of deposit are maintained making up the deposit paid control account.

3.20 Sundry Debtors

Sundry debtors represent all other debtors which cannot be recorded using the above receivable accounts. Such debtors represent claims from other companies/entities which don't arise in the normal and principal activities of ASER. They may include interest receivables, rent receivables, tax refund receivables, etc.

UNIT FOUR: - INVENTORY / STOCK MANAGEMENT

4.1 STOCK (INVENTORY)

Stock/Inventory represents assets expected to be consumed for the operation in the forth-coming accounting period like goods purchased for re-sales, raw materials for manufacturing, work in progress, manufactured/finished products, packing materials, spare parts and other supplies and stationeries. For reporting purposes, goods in transit shall be accounted as inventory. Accounting for stock affects both the balance sheet and the income statement. The major role of accounting for stock is matching the relevant costs against the related revenues. The monetary control aspect also requires the installment of proper accounting policies and procedures. Although some stock policies and procedures were dealt with in the purchasing and stores manuals, summary of salient policies and procedures believed to be included in this

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Accounting/Financial Manual are indicated here below: -

4.2 Stock Policies

4.2.1 Perpetual inventory system should be used for all stock items.

4.2.2 The store or appropriate unit shall prepare a pre-numbered purchase requisition. Any purchase could be initiated by store or end-user department but must be filled in the purchase requisition and approved by an authorized person.

4.2.3 Before taking any action, verification has to be made whether

the purchase request is within the budget of the requesting department and whether the item is not in store.

4.2.4 All items purchased shall be delivered to store against Goods

Receiving Note (GRN).

4.2.5 Deliveries from the stores shall be made against authorized stores requisition and stores issue vouchers.

4.2.6 Physical count shall be made at least once a year and persons other than storekeeper should take the count;

4.2.7 Entries to **bin cards, stock cards and accounts ledger** should

ascertain that stores receipt procedures and controls are adhered to.

4.2.8 Physical items actually on hand should represent the quantity shown as stock record.

4.2.9 Excess and shortage of stock items, slow moving items, shall be properly valued and accounted.

4.2.10 Pre-numbered Goods Receiving Note and Store Issue vouchers should evidence receipts and issues of stock items.

4.2.11 Valuation of stock items shall be made on the basis of moving average method.

4.2.12 An allowance account for possible obsolescence due to technological factor or passage of time could be maintained depending upon the nature the inventory [stock]. However, this requires the approval of the general manager.

4.2.13 Storekeepers must not have access to the accounts and stores recording. However, they should be available for possible

explanation as the inventory count requires them.

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4.3 Stock Procedures

- 4.3.1 A Store man checks the items with the listings on the purchase order.
- 4.3.2 If the quantity and type of items received agrees with the purchase order; a receiving voucher shall be prepared.
- 4.3.3 A receiving report copy is sent along with supplier's invoice to accounts.
- 4.3.4 The accounts division must maintain stock cards in quantity and value for all items of all inventories, categorized by type.
- 4.3.5 Goods received notes must be valued immediately by accounts or cost clerk from the purchase invoices in the case of local purchase or the costing sheets in the case of import purchases.
- 4.3.6 Once cost is determined, goods received notes will be recorded on the stock record cards in quantity and value, a new average cost being computed in the occasion of each purchase.
- 4.3.7 Store issue vouchers will be recorded in quantity and value on the stock record cards which should be balanced at least monthly in both quantity and value and updated average cost being computed at each month end and noted on the stock record card.

4.4 Goods in Transit (GIT)

Goods in transit represent the value of goods (commodities), which have been dispatched by a foreign supplier but not yet received. Imported items are considered in transit until cleared from customs and delivered to stores. These may represent huge amount of investment and hence it must be accounted appropriately.

4.4.1 GIT Policies

- 4.4.1.1 The letter of credit and goods in transit accounts should be checked against the monthly "Margin Paid Account Ledger" produced by the Foreign Exchange Department of the Bank.
- 4.4.1.2 To facilitate the follow-up of goods in transit and costing of the goods to be received, a separate subsidiary ledger account must be maintained for every individual order. Allocation of the costs accumulated in this account to goods received, if they are different, shall be made on the nature of the goods and the qualitative judgments of the evaluators.
- 4.4.1.3 All incoming goods should be supported by Goods

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Received Notes [GRN] in order to close the “Goods in Transit” Account

4.4.2 GIT Procedures

- 4.4.2.1 Subsidiary ledger account shall be maintained for each Import Items or letter of credit making up the goods in Transit Account;
- 4.4.2.2 All expenditures such as invoice price, freight, insurance, customs, transit service charges, bank charges etc... incurred in obtaining an item of inventory shall constitute the total cost for that item.
- 4.4.2.3 On the basis of supplier invoice and the transactions documents in No 14.3.4, ‘goods in transit’ is debited and bank is credited.
- 4.4.2.4 When goods are received and ‘goods received note’ is prepared, debit ‘stock’ account and credit ‘goods in transit’ account.

4.5 Physical Count of Inventory

Inventory count under perpetual inventory system is always up to date. Yet events can occur where the Inventory [stock] account balance may differ from inventory on hand. Such events include theft, loss, damage, and errors, etc. Thus, it is required to take a physical count of inventory at least once each year. The process of a physical count is fairly standard.

4.5.1 Stock Count Policies

- 4.5.1.1 All stocks must be counted at least once in a year
- 4.5.1.2 Decide the stock count date. Update stock and bin cards and as much as possible stop movement of materials during the count.
- 4.5.1.3 The perpetual inventory system would demand for more frequent count of fast moving items and less

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frequently for slow moving or dead items.

- 4.5.1.4 Stocks should be classified into fast, average, slow, very slow moving and dead items;
- 4.5.1.5 Surprise sample count (perpetual inventory system) on regular basis during the fiscal year and should cover count of all stocks on the average at least several times a year. This will help to ascertain the existence of materials and would also help management to take action timely.
- 4.5.1.6 The Finance & Investment Directorate should organize stock taking committee and assign counter, checker, and supervisor. The composition of the committee depends on the nature of inventory to be counted. Persons involved in store keeping, record keeping, and purchasers should not be involved in the activities of counting and checking. However, they could be assigned to help in identifying and locating.
- 4.5.1.7 Invite external auditors to witness the count. Stock count should cover all items and every committee member of the count should be briefed on the counting procedures and have a copy of the dire
- 4.5.1.8 Under normal circumstances, gross counting should not be allowed.
- 4.5.1.9 Separate the one who counts the items from the one who records. Consider double-checking by another person for high value items.
- 4.5.1.10 Make available measuring and weighing instruments and identify the last numbers of goods receiving note, issuing note, etc.
- 4.5.1.11 Prepare count sheets in many copies. Ensure the name and identification number of the item being counted is the same with the item written in the bin or stock card and the unit of measurement is the same. Don't write count in pencil.
- 4.5.1.12 The count should be registered simultaneously in the bin or stock card and on the count sheet. Indicate the date of count.
- 4.5.1.13 Supervisors should as much as possible counter-check the counts to ensure that counters and checkers have done it properly.
- 4.5.1.14 The store room or the warehouse should be sealed during the period of count.

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4.5.1.15 The end result of the counting should be communicated to the accounts who compared with the book record. In case of discrepancies, immediate report should be made to the general manager through Finance Manager;

4.5.1.16 As a matter of principle, the storekeeper should also

make count if possible at point of delivery or issuance and compare with the bin card and inform for any discrepancy.

4.5.2 Stock Count Procedures

4.5.2.1 Before beginning a physical count of inventory, prepare at least one pre-numbered inventory count sheet for each product on hand. This count sheet should be issued to employees doing the count.

4.5.2.2 Proper identification systems must be used to separate the counted items from the uncounted ones. One system could be to mark items counted to separate from those not counted.

4.5.2.3 Record count to stock or bin card balance in the count sheet and compare with the count and identify difference as excess or shortage in the columns prepared for this purpose.

4.5.2.4 Identify damaged, slow moving and obsolete stocks in the remark column of the stock count sheets.

4.5.2.5 Make sure that sealed items contain the right material.

4.5.2.6 Obtain confirmation for goods held by third party, if any.

4.5.2.7 An employee should count the quantity of items and a second employee shall verify the count of the first employee.

4.5.2.8 The supervisor shall check that all unused pre-

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numbered inventory count sheet is returned.

- 4.5.2.9 After count is completed the items should be valued i.e. unit cost should be established for each item. Competent personnel should do this job. Obtain information on its purchase date, selling price, and cost from the accounting records to determine the value
- 4.5.2.10 Once the items are valued, identify the difference in value between the count and the stock card value. Investigate the difference and record in the physical count report.
- 4.5.2.11 After count is completed and the excess or overage is identified, the stock inventory sheet shall be completed on the basis of information from the count sheet. For costing of the items, it could be referred to the stock ledger card maintained.
- 4.5.2.12 The quantity and cost data on inventory sheet are aggregated and compared with the book balance on that date. Discrepancies shall be reported immediately.

4.6 Deferred Costs

- 4.6.1 **Deferred costs** are costs incurred but the benefits of which are expected to materialize in the foreseeable future i.e. other than the period during which the costs re-incurred. Finance & Investment Directorate should make a careful review of such costs and estimate the amount to carry forward as deferred

costs each year. Examples of deferred costs are: -

- 4.6.2 **Pre-Operation costs:** all expenditures incurred before the date of commencement of operation are referred to as pre-operation costs and treated as deferred costs.
- 4.6.3 **Exploration cost** with a feasible outcome shall be treated as deferred costs.
- 4.6.4 Underground and open pit preparation costs shall be treated as deferred costs.
- 4.6.5 **Stripping costs** shall be deferred to be matched with future revenue;
- 4.6.6 Deferred Costs shall be stated at cost less accumulated amortization.

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UNIT FIVE: - FIXED ASSETS MANAGEMENT

5.1 Definition

Fixed asset is an asset held with the intention of being used for the purpose of producing or providing goods or services and is not held for sale in the normal course of business. Fixed assets are expected to have more than one year of useful life and costs not less than Birr 2000 (shall be decided by management).

Categories of ASER fixed assets shall be as follows: -

18-101-0001	Office Furniture
18-101-0002	Office Equipment
18-101-0003	Computers and its Accessories
18-101-0004	Vehicles
18-101-0005	Plant & Machineries
18-101-0006	Buildings
18-101-0007	Tools
18-101-0099	Other Fixed assets

Fixed assets are set apart from other assets by two important features:

- The first is that they are used for the operations. This makes them different from assets such as inventory that is held for sales and not used in operations. The distinctive feature here is **Use** and not **Type** of asset. Purchased computer for reselling should be reported as inventory not fixed asset on the balance sheet. But if the same company purchases the same computer for use in operations, it is a fixed asset.
- The second is that fixed assets have useful lives extending

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over more than one accounting period. This makes them different from current assets such as supplies that are usually consumed in a short period after they are placed in use.

Cognizant to these features of fixed assets, Aser has developed the following fixed assets accounting policies and procedures.

5.2 Fixed Assets Policies

5.2.1 Fixed Assets shall be composed of those assets, fixed or movable, whose expected economic/legal life is greater than one year with acquisition cost of greater than Birr 1000.

5.2.2 All expenditures on acquisition of fixed assets in excess of Birr

1000 shall be classified as fixed assets and those costing less than Birr 1000 shall be classified as revenue expenditures and shall be recorded as expenses.

5.2.3 All acquired and constructed fixed assets shall be recorded at cost. The cost shall include all necessary and reasonable cost incurred to make ready the fixed asset available for use in the normal operation of ASER.

5.2.4 Costs incurred subsequent to the purchase of fixed assets for the purpose of major improvements, increase in capacity, change in structure, extensions, plant modernization etc. and which have the effect of prolonging the economic life or increase efficiency and effectiveness of such fixed assets as proved by the technical expert of ASER shall be capitalized.

5.2.5 Purchase of fixed assets and properties or expenditures on

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major repairs must have been approved through the annual budget for capital expenditure as per the budget manual of Aser.

- 5.2.6 Annual physical counts of all fixed assets and properties must be conducted and such counts shall be reconciled with the records maintained for the fixed asset.
- 5.2.7 Fixed assets or properties purchased for use by ASER must not be sold out unless it has been officially confirmed that it is not useable for any better use. Such sales require the approval of the General Manager.
- 5.2.8 Gain or loss on disposal of fixed asset shall be accounted for in the fiscal period during which the disposal took place.
- 5.2.9 Where a used asset is believed to have a better value to the company by cannibalizing it as compared to sale or transfer then formal technical report and justification must be presented to the General Manager and authorization from the same to put the asset to such use.
- 5.2.10 Any transfer of fixed assets to sister company shall be on mutual business advantage and shall be effected with the agreement of the respective Company's General Manager.
- 5.2.11 Where a fixed asset has been replaced by a new one, due to old age, management must ensure that the item replaced has been disposed off in view of the exorbitantly high maintenance and running costs especially where replacement was sought

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on the grounds of running and maintenance costs.

- 5.2.12 Expenditures incurred on Capital Works in Progress shall be capitalized as Fixed when they are commissioned or start operations. Cost includes material, labor, ground preparation, demolishing cost of old structure, professional fees and, where applicable, borrowing costs, and other incidental costs.
- 5.2.13 Capital Works in Progress are assets being constructed over extended periods of time or are assets that require extensive installation work or integration with other assets. Examples include buildings, Company plants, depots, etc. Capital projects may have elements that are associated with replacement, enhancement and/or new capital works.
- 5.2.14 Capital expenditures on existing fixed assets should be capitalized where the following criteria apply:
- It is not related solely to revenue which has already been brought to account;
 - There has been a measurable increase in the existing service potential of the asset as indicated by either an extension to its useful life or its revenue-earning capacity, or both; and
 - If it is material in amount (as per the current tax proclamation, the expense should exceed 20% of the depreciation base of the category).
- 5.2.15 Capital expenditure is expenditure that improves, enlarges or

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adds to the service potential of an existing asset. Capitalized cost includes major expenditures for improvements and replacements that extend the useful lives of the assets or increase their revenue generating capacity.

5.2.16 Repairs and maintenance expenditures that do not meet the foregoing criteria for capitalization are charged to the profit and loss account as incurred.

5.2.17 Interest paid on loans obtained specifically to finance the cost of construction or acquisition of fixed assets for the period- until the assets become operational-may be capitalized as part of the cost of such assets. However, interest on loans for fixed assets that are in use are financing charges and should not be capitalized but charged to revenue in the year in which they are incurred.

5.2.18 Where fixed assets are constructed over a period or machinery is in transit or under installation the total cost shall be charged to Construction in progress or jobs accounts or machinery in transit accounts until such time that the item concerned is complete and becomes operational.

✓ Leasehold improvements shall be recognized at cost

and shall be depreciated:

✓ Over the remaining period of the lease; or

5.2.19 The useful lives of the improvements, whichever is shorter.

5.2.20 Ownership certificates, title deeds and registration booklets for

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fixed assets must be kept with the Finance Manager or delegated person for such activity.

5.2.21 Fixed assets shall appear in the balance sheet at cost or at their value of origin.

5.2.22 All fixed assets must be coded and are identified with specific

I.D No. in the fixed asset register.

5.2.23 The Fixed assets register shall show the history of the asset. It shall contain information such as description of the asset, I.D. No., date of purchase, serial number, acquisition cost, supplier's address, location, depreciation to date, expected date of disposal or retirement, etc.

5.2.24 Fixed asset register shall be reconciled and agreed with the annual physical count.

5.2.25 ASER shall make annual Fixed Assets revaluation.

5.2.26 An independent professional consultant shall make revaluation of fixed assets.

5.2.27 Surplus on revaluation shall be treated as revaluation reserve.

5.2.28 In order to comply with the tax law of the country, depreciation of the amount in excess of the original cost shall be charged to revaluation reserve.

5.2.29 All fixed asset shall be depreciated using the depreciation method and rate enforced in the income tax law.

5.2.30 No depreciation shall be computed on fixed assets that are

NOT used in the operation during the year or no more use in

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the future.

- 5.2.31 Adequate safeguards over assets must be provided. No fixed assets shall leave the premises without proper approval and get pass.

5.3 Fixed Assets Recording Procedures

- 5.3.1 The cost of fixed assets shall include all direct and incidental costs incurred in respect to invoice price, insurance, customs duty, freight etc. and all other costs directly identifiable with the acquisition process.
- 5.3.2 When a fixed asset is purchased or capitalized, the cost shall be debited to fixed asset account with a Contra - entry either to bank or capital Goods in progress or GIT or Jobs or payable account as the case may be.
- 5.3.3 Property register book must be maintained by stores to keep records of properties whose value is below Birr 1000. The record should provide information on Classification of the assets, Description of the assets, Location, responsible staff, Status or condition, etc.
- 5.3.4 A Fixed Asset Register Book must be maintained by the accounts, which among others should have the following information: Accounting Reference, General Ledger Account, Manufacturer/Supplies brand name, Serial Number, Location, I.D. Number, Date of acquisition, Initial cost, additions, Depreciation for the year, Depreciation year to date, Book

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value, etc.

5.3.5 For construction in progress constructed by Issuing Project Number or Job number, the following procedures shall be followed.

- a) At the initial stage, the cost center for the accumulation of capital expenditure on buildings, installation etc. will be entered to “Construction in Progress” account.
- b) Project number should be indicated on the source documents to identify the expenditures.
- c) On the basis of pertinent documents such as payment certificates, store issue vouchers etc. entry is passed by debiting construction in progress account and crediting appropriate accounts.
- d) Cost accumulated under construction in progress is analyzed by accounts indicating the project number and type of expenditure.
- e) Expenditure is posted to individual job number opened in reference of the project number.
- f) When the project is completed the cost shall be transferred to fixed asset account.

5.4 Fixed Assets Coding Procedures

For control purpose, all fixed assets should be assigned identification numbers as follows.

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5.4.1 Coding Structure

Aser shall have fixed assets coding system classified in three categories:

- The 1st Two Digits shall indicate the fixed assets are Aser's property.
- The 2nd **four digits** shall indicate the General Ledger Account.
- The 3rd **four digits** shall indicate the subcategories of the fixed assets.
- The 4th **four digits** shall indicate the individual fixed asset's code.

5.4.2 The 1st **two digits** shall be “**AS**” means **ASER's**:

5.4.3 The 2nd **four digits** shall be “**General Ledger A/C**” as follows:

Office Furniture	0001
Office Equipment	0002
Computers and Its Accessories	0003
Vehicles	0004
Plant, Equipment & Machineries	0005
Buildings	0006
Tools	0007
Other Fixed assets	0099

5.4.4 The 3rd **four digits** shall be “Subcategories of the Fixed Assets” as follows:

5.4.4.1 Sub categories of Office Furniture:

Desks

OF01

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Guest Chairs	OF02
Swivel Chairs	OF03
Tables	OF04
Shelf	OF05
Filing Cabinets	OF06
Coffee Tables	OF07

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Sofa Set	OF08
Fittings	OF09
Others	OF99

5.4.4.2 Sub categories of Office Equipment's:

Type writers	OE01
Adding Machines	OE02
Fax Machines	OE03
Telephone equipment	OE04
Others	OE99

5.4.4.3 Sub categories of computers and its accessories:

Desktop computers	CA01
Servers	CA02
Laptop computers	CA03
Printers	CA04
Scanners	CA05
UPS or Stabilizers	CA06
Network Equipment	CA07
Others	CA99

5.4.4.4 Sub categories of vehicles:

Trucks	VE01
Tippers	VE02
Automobiles	VE03
Forklifts	VE04
Motor Cycles	VE05

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Others

VE99

5.4.4.5 Sub categories of plant & machineries:

Generators

PM01

Others

PM99

5.4.4.6 Sub categories of buildings:

Factory Buildings

BU01

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Office Buildings	BU02
Residential Quarters	BU03
Fences	BU04
Sewerage System	BU05
Others	BU99

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5.4.4.7 Sub categories of land improvement:

Greenery	LI01
Internal Roads	LI02
Others	LI99

5.4.4.8 Sub categories of leasehold land:

Location 1	LL01
Location 2	LL02
Others	LL99

5.4.5 The 4th Four Digits shall be “serial numbers” ranging from “001 to 999.

5.4.6 Example of coding of the 4th office furniture, Tables, shall be as follows:

AS-0001-OF04-0001

5.4.7 Before fixed assets are issued to the user through Fixed Asset issue voucher, stores should give an identification number as per the coding system indicated above. The issue of fixed assets without giving code numbers is strictly forbidden.

5.4.8 In order to avoid the issue of identical numbers for the different fixed assets, stores should maintain a register book indicting the list of numbers issued.

5.5 Fixed Assets Registration Procedure:

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5.5.1 On the basis of financial ledger and source documents all fixed

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assets shall be recorded or registered in a fixed asset register card.

5.5.2 Fixed assets register shall be maintained by Accounts.

5.5.3 The asset register card should be completed with all the required information such as the following:

- The type of the asset should be written on the description part,
- All other information relating to identification number, suppliers name goods receiving note, store issue voucher No., purchase cost and net prices etc. can be extracted from the supplier's invoice, goods received note and store issue vouchers,
- In the cost column of the depreciation schedule the original purchase price plus other allied costs should be recorded,
- Depreciation for the year can be calculated by using the applicable depreciation rate.
- Accumulated Depreciation column shows the accumulated allowance for depreciation balance.

5.5.4 Book value is the difference between cost and allowance for accumulated depreciation.

5.5.5 Property Register book should be maintained by HRM, Procurement & Supplies Management Directorate to keep record of properties that cost below Birr 1000.

5.5.6 When properties are handled over to staff members it should be

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handed over by means of property handover note.

5.6 Fixed Assets Count Procedure:

- 5.6.1 Finance & Investment Directorate shall organize a team that conducts the count of fixed assets and brief all personnel involved in the count of fixed assets.
- 5.6.2 Date of count shall be at end of every year.
- 5.6.3 Make ready the fixed asset count sheet.
- 5.6.4 As far as possible ensure that there are no movements of fixed assets during the count.
- 5.6.5 Identify the condition of the asset as to whether it is damaged, repairable, irreparable etc. and indicate your observation in the count sheet.
- 5.6.6 Indicate the actual date of the count on the fixed asset count sheet.
- 5.6.7 Compare counts with fixed asset register and account for the difference, if any.
- 5.6.8 Submit final report on the conduct of the count to General Manager. The report could include the results of investigations on major differences found, difficulties encountered during the count and suggestions for improving the same for future counts.

5.7 Fixed Assets Depreciation

Depreciation is a measure of the wearing out, consumption or other loss of value of a depreciable asset arising from use, effluxion of time or obsolescence through technology and market changes. Depreciation is allocated so as to charge a fair

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proportion of the depreciable amount in each accounting period during the expected useful life of the asset. Depreciation includes amortization of assets whose useful life is predetermined.

5.7.1 Depreciation of fixed asset shall be calculated every year based on:

- The nature and situation of the fixed asset;
- The original cost of the fixed asset and any addition or deductions;
- The expected useful life of the asset and
- The estimated residual value as a result of scrapping or disposing of the asset

5.7.2 If the depreciation base does not exceed Birr 1,000, the entire depreciation base shall be directly expensed in accordance to the current tax proclamation.

5.7.3 As per the **Tax Law** Business Companies should use **Straight- Line Depreciation Method or Diminishing Value Depreciation Deductions Method** based on historical cost (Ref. Article 36 to 41 of Income Tax Regulation for more details). Aser shall use Straight-line Depreciation Method.

5.7.4 The following **rates of depreciation** shall be applicable for computation of Fixed Assets Depreciation in **Straight-line Depreciation Method**.

Classification	Depr. Rate	Depreciation Method
Computers, Software and Data Storage	20%	Straight-line Rate

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Green Houses	10%	
Structural improvements on immoveable property other than Greenhouse	5%	
Any other depreciable assets	15%	
Depreciable assets used in mining and petroleum development operations	25%	

5.7.5 The rate of depreciation applicable to a business intangible shall be:

5.7.5.1 For preliminary expenditure, 25%.

5.7.5.2 For a business intangible with a useful life of more than 10 years, other than mentioned in 14.7.5.2, 10%.

5.7.5.3 For any business intangible, 100% divided by the useful life of the intangible.

5.7.6 Where an asset is fully depreciated but remains in the possession of

ASER, a nominal value of Birr 10 per item must be assigned.

5.7.7 The annual depreciation charges shall be credited to “Accumulated Depreciation” account and debited to the “Depreciation expense” account for all non-production fixed assets.

5.7.8 Depreciation for fixed assets used for production, the debit shall

be to “Production Overhead Account”.

5.8 Internal Control for Fixed Assets

5.8.1 Fixed assets must be kept in a secure place that ensures their working conditions.

5.8.2 Physical inventory of fixed assets should be taken at least once in a year to verify the existence and condition of the assets.

5.8.3 The physical count should be compared with the register.

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5.8.4 Ensure that the register contains all existing assets.

5.8.5 Insure very important fixed assets are insured.

5.9 Liabilities

5.9.1 Definition and Descriptions

Liabilities are money due to third party entities or individuals. The acceptance of the transfer of money, materials, commodities, services, etc. carries with them responsibilities that involve financial obligations. It includes Debtors payable, accrued expenses, provident fund payable, Pension Payable, income tax payable, retention payable, withholding tax, Loans payable etc. In the balance sheet, liabilities are classified as current liabilities, long term liabilities and deferred charges.

5.9.2 Current Liabilities

Current liabilities are moneys due within one year.

5.9.3 Long-term Liabilities

5.9.3.1 These liabilities are borrowings with repayments schedules of over a year. Such borrowings have a special loan agreement signed with conditions ensuring repayments over the years.

5.10 Deferred Revenue

5.10.1 Definition

5.10.1.1 Deferred revenues refer to cash received in advance of providing products and services. These are unearned revenues and hence represent liabilities. When cash is

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accepted, an obligation to provide products or services is accepted. As products and services are provided, the unearned revenues become earned revenue.

5.10.2 Policies

5.10.2.1 Periodical review must be done to ensure that from the amount collected in advance, the earned portion is transferred to the appropriate revenue account.

5.10.3 Procedures

5.10.3.1 Upon receipt of advance payments, cash is debited and deferred revenue is credited.

5.10.3.2 When services are rendered or products are delivered, deferred revenue is debited and appropriate revenue account is credited.

5.11 Accrued Charges

5.11.1 Definition

Accrued charges represent to costs that are incurred in a period but are both unpaid and unrecorded. Accrued charges are incurred expenses that must be reported on the income statement and a liability should be recognized and reported on the balance sheet. When costs are incurred in acquiring products and services, there is an obligation to pay for them. The cost of products and services acquired but not yet paid are accrued expenses. Adjusting entries are required to update the liability and expense accounts.

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5.11.2 Policies

5.11.2.1 Care should be taken not to double record the accrued expenses during the succeeding fiscal year.

5.11.2.2 Every expense items that should be accrued must be recognized and not be left out unrecorded.

5.11.3 Procedures

5.11.3.1 The amount of expenses incurred but not paid during the year should be determined and debited to the appropriate expense account and credited to 'accrued liabilities' [deferred charges].

5.11.3.2 When the liability is settled, accrued liability is debited and cash at bank is credited.

UNIT SIX: - FINANCIAL JOURNAL, ACHIEVES & INSURANCE

6.1 Journal Preparation

6.1.1 Journalizing

6.1.1.1 Journalizing is one aspect of recording financial transactions. However, different registers for recording transaction can also be implemented. After analyzing the source document, indicate the correct account number and prepare a journal voucher. When preparing a journal voucher, the following procedures should be adhered:

6.1.1.2 Indicate the date of transaction on the journal voucher.

6.1.1.3 Indicate page number on the journal voucher.

6.1.1.4 Indicate the correct description of the transaction.

6.1.1.5 Vouch the debit entries to be followed by vouching the credit entries.

6.1.1.6 Check and ensure agreement of the recorded debit and credit entries.

6.1.1.7 Check journal entries amounts against supporting documents.

6.1.2 After ascertaining the completeness and accuracies, journal vouchers shall be signed by a person in charge of journal preparation and shall be approved by the General Accounts Head.

6.1.3 After verifying the accuracy and approval, the process of posting

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is done. No JV shall be posted before approval.

6.1.3.1 Posting Policies and Procedures

- 6.1.3.1.1 The person in charge of posting transfers each account in the journal to each control and subsidiary ledger accounts.
- 6.1.3.1.2 After the process of posting is finalized the journal vouchers are sent to the financial archives for filing.
- 6.1.3.1.3 When posting directly to ledger indicate the source document number (GRN, SIV, CSI, No. Etc.) in the description column.

6.2 Financial Achieves

There should be properly organized archive for Finance Department. The person to be assigned has the obligation to properly file the financial/accounting document in line with the detailed guidelines on archive. The following policies and procedures should be adhered in this regard: -

6.2.1 Need for Financial Archive

- 6.2.1.1 To safeguard documents from spoilage, theft and other damages expected to occur.
- 6.2.1.2 To enable accountants, auditors and other interested parties to have easy access to financial documents.
- 6.2.1.3 To keep documents away in a safe centralized location with no easy access to unauthorized personnel.
- 6.2.1.4 Requirements for a Good Archive
- 6.2.1.5 Suitable room with no easy access

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6.2.1.6 Assignment of archive clerk in charge of filing, handing- over, and the overall management of the archive responsible to the general accounts head.

6.2.1.7 Providing facilities such as shelves, cupboards and others for keeping documents.

6.2.1.8 Procedures to be followed

6.2.1.9 After posting of transactions are completed, source documents should be transferred to archive.

6.2.1.10 Upon receipt of the documents, the archive clerk should check that the documents bear sequential numbers and all the necessary supporting documents are attached.

6.2.1.11 The archive clerk should file the documents in accordance with their sequential number and by type of transactions. There should be a separate box file for payment vouchers, Invoices, goods receiving notes, store issue notes, ledgers, journals etc.

6.2.1.12 All Audited ledgers, registers, bank reconciliation statements, statement of accounts etc. should be kept by date and type of document in a box file.

6.2.1.13 No document should be withdrawn from archive without obtaining an authorized slip approved by the general accounts head or delegated person.

6.2.1.14 Written authorization should be obtained from the General

Manager before disposing documents that completed the minimum legal requirement.

6.2.1.15 Documents with legal case, uncollected invoices and other relevant documents such as long-term contracts, agreements etc. should be preserved and are not subject for disposal.

6.2.1.16 A strict follow-up should be made regarding return of documents withdrawn from the archive. If the documents are not returned within five days, the general accounts head or delegated person should be notified to take action.

6.3 Insurance

6.3.1 Insurance is one of mechanisms for risk financing. Risk financing activities provides the means for reimbursing losses that occur and for funding other programs to reduce uncertainty and risk, or to enhance positive outcomes. Thus, Insurance provides

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protection for loses that may occur due to unforeseen factors. The following policies should be adhered: -

- 6.3.2 The General Manager shall ensure that all assets and factory employees are covered with insurance.
- 6.3.3 The General Manager shall ascertain that insurance coverage made on all appropriate areas are adequate and pass appropriate instructions to amend any deficiency.
- 6.3.4 To enhance follow up and control, all insurance agreement be made to lapse at the end of every accounting period so that renewals could be made for all insured assets at the same

time. Written comments by the expert of the user departments on the assets to be insured shall be gathered before decisions for renewals.

- 6.3.5 Aser shall ascertain that insurance claims are made on due time and that collections are made accordingly.
- 6.3.6 ASER, after performing risk assessment, shall enter all or part of the following insurance contracts where and when found appropriate:

6.3.6.1 Fire Insurance

6.3.6.2 Motor vehicle Insurance

6.3.6.3 Money Insurance

6.3.6.4 Cash in safe, Cash in transit and Fidelity Guarantee for cashiers and store keepers;

6.3.6.5 Workmen's' compensation insurance

6.3.6.6 Medical Insurance

6.3.6.7 Marine and inland insurance

6.3.6.8 Flood insurance

6.3.6.9 Consequential loss insurance

6.3.6.10 Goods in transit Insurance

6.3.6.11 Burglary insurance

6.3.6.12 Any other insurance as appropriate.

6.4 Internal Audit

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6.4.1 ASER's financial operations compliance to laws and regulations and its performance should be audited by internal auditors and must have an internal audit manual.

6.4.2 The internal audit department shall prepare and submit copy of its reports to the General Manager.

6.5 Procedures for Printing and Usage of Accountable Forms: -

6.5.1 Accountable forms in this context are limited to documents that are used by ASER for receiving cash, goods and services, and delivery of goods and services. It includes cash receipts, invoices, delivery orders, Goods Receipt Notes [GRN], Stock Issue Note [SIV], payment vouchers, etc.

6.5.2 The purpose of this directive:

6.5.2.1 To have clear and common procedures of printing and usage of the forms;

6.5.2.2 To mitigate undesirable situations that may occur due to negligence or intentional mishandling of the forms;

6.5.2.3 To maintain uniform and standard use related to type and contents of the formats.

6.5.2.4 Policy and Procedures

6.5.2.5 ASER shall only use accountable forms specifically designed and printed by ASER for the purpose of invoices, receiving cash, goods and services and delivery of goods and services and payments;

6.5.2.6 Some of these accountable formats like cash receipts, manual credit and cash invoices, payment vouchers, etc. requires approval of Revenue Authority. Thus, the

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requirement of the law should be checked for printing of accountable formats before printing.

- 6.5.2.7 The printing of these formats will be the responsibility of both the Finance Manager and the General Manager. The quantity to be printed will depend on the usage rate and what management considers reasonable quantity.
- 6.5.2.8 The design of these formats will be as per the requirement of ASER, the laws and the standard information required from each document.
- 6.5.2.9 The printing should be in sequential serial number and will follow the last number of printed documents.
- 6.5.2.10 Upon receipt from printing, detail check should be made as to whether the pad contained consecutive number and any missing number should be reported and record should be kept with the management and auditors.
- 6.5.2.11 The custodianship of unused documents such as cash receipt, sales invoice, store receipt, store issue note (SIV), delivery order and payment vouchers should be under the Finance Manager or his assigned delegate.
- 6.5.2.12 The printed materials should be kept in safe place and should not be easily accessible other than to the custodian.
- 6.5.2.13 The custodian of the printed materials shall maintain a register indicating the type of document, number printed, No. of pads, content of each pad, and No of pads and Nos.

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issued, return of used pads, to whom it was issued, when issued and signature for receipt, etc.

- 6.5.2.14 The printed materials are issued only to the relevant persons (a person officially assigned to use the forms);
- 6.5.2.15 The issuance will be made by receiving material request form duly completed and authorized by the appropriate person and upon return of the used pads.
- 6.5.2.16 For effective control, the quantity to be issued will be generally limited to day-to-day use and will not be for unreasonably extended period but management could use its discretion as to the period.
- 6.5.2.17 The usage of any printed material should be based on sequential number and to use otherwise is not allowed.
- 6.5.2.18 If the need for use of several documents at one time occurs, the sequence should be followed in issuance and when used the sequence should be checked over a period depending on the volume of activity of ASER.
- 6.5.2.19 Regular physical inventory should be made and reconciled with register of the printed materials stocks. Missing numbers should be reported and immediate management action is required. In addition, if usage without following the sequence occurs immediate investigation should be carried out.
- 6.5.2.20 The same procedure shall apply for projects, Plants, Branch office, etc. if they use these accountable forms.

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UNIT SEVEN: - CAPITAL AND REVENUE

7.1 Capital

7.1.1 Paid-up Capital

Paid-up Capital account represents the original registered and paid-up or contributed capital for the establishment of the company. Contribution could be in either cash or in kind. To establish the capital account, the entries to be passed is to debit an asset contributed and credit to capital account. The increase and decrease in the paid-up capital can be possible but be evidenced by minutes of the owners and be approved or registered as stipulated in the appropriate law.

7.1.2 Retained Earnings

This account represents the accumulation of net income or loss to date. The source of this account is the transfers from the net earnings or profit of the concerned year. The entry to record the transfer of net income to this account is debiting profit and loss account [Income and Expense/cost summary account] and crediting Retained Earnings account. If net loss is incurred the reverse entry is passed

Annual profit after tax should be fully paid as dividend to the owner or partially invested and partially paid as dividend to the owners or fully invested to finance expansion investments or working capital of operation. All invests shall registered and

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included in the paid-up capital and authorized by Ministry of Trade before the end of the next fiscal year (Ref. Income Tax Law 979/2016 Article 62).

7.1.3 Legal Reserve

This account accumulates the **5%** of yearly net income of ASER until its account balance reaches **10%** of Paid-up capital balance. The entry to record the transfer is to debit Income and Expense summary [profit and loss] account and credit the Legal Reserve account.

7.1.4 Profit and Loss Account

This account is a temporary account that is used for summarizing the data in the revenue and expense accounts. It is used at the end of a fiscal period. This account might be used in prior period adjustments. The account balance of this account could be debit or credit depending up on the results of operation. All revenues and expense accounts will be closed to this account at the end of a fiscal year.

7.2 Revenue

This account represents all revenues, net of VAT, that are generated from sales of goods or services provided by ASER. Sales may be either on:

A **cash basis** where payment is received at the time of delivery of goods/services or **Credit basis** where goods/services are delivered to customers but payment is not made until an agreed time after delivery.

Long term contract basis is also one where by delivery of services

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or goods took over one accounting period and payment is based on progress or delivery of goods or services.

7.2.1 Long Term Construction Contract Revenue Recognition

- 7.2.1.1 International accounting standard recognizes the percentage-of-completion method of accounting for recognizing revenue for long term construction contracts. Long-term contract means a contract which will not be completed within 12 months or within one accounting period from the date on which the work under the contract commenced.
- 7.2.1.2 It is also enforced to use percentage of completion method in the “Income Tax Proclamation Number 979/2016 Article 32”.
- 7.2.1.3 The logic behind the percentage of completion method is that both the buyer and seller have obtained enforceable rights and obligations in the CONTRACT. The buyer has the right to require specific performance on the contract; the seller has the right to require progress payments. This indicates the fact that a “continuous sale” is in progress.
- 7.2.1.4 The percentage of completion method should be used, if estimates of progress towards completion, revenue and costs are reasonably dependable, and all of the following condition exists:

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- ✓ The contract clearly specifies the rights regarding goods and services to be provided and the consideration to be paid in exchange;
- ✓ The buyer can be expected to satisfy all the contractual obligations;
- ✓ The contractor can be expected to perform the contractual obligations.

7.2.1.5 Therefore, the following implementation guideline/ procedure has been crafted to be used by all concerned work units of Aser.

7.2.1.6 Under the percentage-of-completion method, revenue is recognized based on the stage of completion of a contract. The stage of completion of a contract may be determined in many ways and that a company uses the method that measures reliably the work performed. Depending on the nature of the contract, one of the following three methods may be chosen: -

- ✓ Cost-to-cost method- cost incurred to date as a proportion of total expected costs.

- ✓ Survey of work performed method.
- ✓ Completion of a physical proportion of contract works (also called units of work performed method).

7.2.1.7 Progress payments and advances received from customers often do not reflect the work performed.

7.2.1.8 Each of the above methods of measuring progress on a

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contract can be identified as being either an input or an output measures. The input measure attempt to identify progress in a contract in terms of the efforts devoted to it. The cost-to-cost method is an input measure. Output measures are made in terms of results by attempting to identify progress towards completion by physical measures.

7.2.1.9 Thus, in compliance to the laws & the accounting standard and cost is a target to control, cost-to-cost method shall be used by ASER in the implementation of percentage of completion method of accounting.

7.2.1.10 Under the cost-to-cost method, the percentage of completion would be estimated by comparing total cost incurred to date to total costs expected for the entire job/complete the contract job. But certain costs are to be excluded from contract costs incurred to date. Examples are: -

➤ Contract cost incurred that related to **future activity**

(e.g., construction materials purchased and supplied to the store and site but not yet consumed during construction);

➤ Payments made **in advance to sub-contractors** prior

to performance of the work by the subcontractor.

The cost-to cost method works well only if the total estimated contract cost is accurate and revised annually to reflect the most accurate cost information.

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7.2.2 Revenue Recognition Policy

ASER complies with laws, rules and regulations, international accounting standards and this financial manual to recognize revenue from its construction activities. Thus, it is the policy of ASER to use percentage of completion method to compute revenue based on cost-to-cost, input, method.

7.2.3 Scope of Revenue Recognition

This procedure applies to Finance; Construction; Contract Administration activities and Customer Service activities and Sales activities including all Staff, Supervisors and Managers in the above respective activities.

7.2.3.1 Detail Procedures for Revenue Recognition

Components required to compute Percentage of Completion are:

7.2.3.1.1 Total contract price (from the contract);

7.2.3.1.2 Actual cost to date (from accounts record);

7.2.3.1.3 Estimated cost to complete the remaining contract work (engineering estimate);

7.2.3.1.4 Progress billings based on payment certificate

(payment request) during the year;

7.2.3.1.5 Cash collected during the year.

7.2.3.2 Steps for Computing Percentage of Completion:

7.2.3.2.1 Track and estimate total contract price, estimated total contract costs and total actual costs to date for each contract;

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7.2.3.2.2 Use cost-to-cost methods to compute the percentage of completion of each contract. This is in compliance to the Income Tax Proclamation Number 979/2016 Article 32.

7.2.3.2.3 Gross profit of completed contract = contract price minus total estimated cost (actual cost to date plus estimated cost to complete the remaining contract work);

7.2.3.2.4 %age completed=total actual cost to date divided by total estimated cost of the contract;

7.2.3.2.5 Gross profit earned to date=gross profit of completed contract multiplied by % age completed;

7.2.3.3 Gross profit earned for the current year= gross profit to date at the end of current year minus gross profit to date at the beginning of the current year or at the end of the previous year.

7.2.3.4 If the estimated cost of a contract to complete the remaining work plus actual costs already incurred exceeds the expected total revenue from the contract, then the full amount of the difference should be recognized in the current period as a loss, and it should be presented on the statement of financial position as current liability;

7.2.3.5 If, after the loss estimate has been made, the actual loss turns out to be a smaller number, the difference can be recognized in the current period as a gain.

7.2.3.6 The percentage-of-completion method recognizes gross profit

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as work in progress on a contract;

- 7.2.3.7 Revenue for the current period will consist of gross profit earned to date plus any costs incurred to date and that revenue is reduced by any revenue earned in prior periods;
- 7.2.3.8 Use of progress billings and construction in progress for each contract, determine if there are costs and estimated earnings on uncompleted contracts in excess of progress billings (asset) and progress billings in excess of costs and estimated earnings on uncompleted contracts (liability);
- 7.2.3.9 Finance is responsible for tracking of actual costs and maintains actual cost to date for each contract;
- 7.2.3.10 Construction is responsible for estimating the remaining works and determine estimated cost to complete each contract at the end of Tahisas 30 and at the end of Sene 30 of each year;
- 7.2.3.11 Finance is responsible for computation of percentage completed and computes semi-annual and annual gross profit and maintains gross profit to date for each contract;
- 7.2.3.12 Construction must STRICTLY review the construction status periodically and prepare payment certificate for each contract (when progress of construction reached on the payment milestone as stated in the contract) and submit the payment certificate to Finance;
- 7.2.3.13 Based on Payment certificate from Construction, Finance

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shall bill or invoice the customer;

7.2.3.14 Billings shall be recorded in the account called “Progress

Billings”;

7.2.3.15 Finance must STRICTLY follow-up settlement/collection of billing/receivable from each customer;

7.2.3.16 Progress billings account is a contra account to work in progress account.

7.2.3.17 Progress billings account and work in progress account for each contract shall be off-settled and closed when the contract completed;

7.2.4 Sell of Other Goods and Services:

7.2.4.1 Any sales shall be made on the basis of pre-approved selling prices.

7.2.4.2 Selling prices of products and merchandise shall be approved as per the delegation of authority.

7.2.4.3 All sales transactions, both cash and credit sales, must be evidenced by credit or cash VAT sales invoices produced by cash register machine or in the case of the cash register machine is not working, manual cash or credit sales invoice which is printed by the authorization of Revenue Authority can be used after registered with revenue authority according to the law;

7.2.4.4 VAT sale invoices shall be prepared on the basis of proforma invoices authorized as per delegation of authority. Proforma

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invoice have to be sent to the cashier to receive the payment by customers.

- 7.2.4.5 Cash or credit VAT sales invoices should have attachments which contain ASER's and customers detailed tax registration No, Address, quantity sold and value as mentioned below.
- 7.2.4.6 The VAT sales invoices attachment should show the date of sales, both customer's and ASER's name, address, TIN No and VAT registration No, quantity sold, unit prices, net sales, VAT amount and total value of sales including tax.
- 7.2.4.7 Attachments should be serially numbered and should contain all details mentioned above and the VAT Invoice FS No.
- 7.2.4.8 Attachment of the invoice shall be printed in four copies. The original is issued to customers with the VAT Invoice, the 1st copy to Stores with one copy of proforma invoice and 3rd copy is issued to Accounts with one copy of proforma invoice.
- 7.2.4.9 VAT sales invoice attachments have to be approved as per delegation of authority.
- 7.2.4.10 On the basis of VAT sales invoices and reference to original invoice with the customer, Stores should have prepared Delivery Order/Merchandise or Dispatch Notes.
- 7.2.4.11 Delivery Order/Merchandise Dispatch Notes shall be

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approved as per the delegation of authority.

- 7.2.4.12 Delivery Order/Merchandise Dispatch Notes should be prepared in three copies. The original and 2nd copy should be issued to store keeper; the 3rd shall be remained with the pad.
- 7.2.4.13 On the basis of Delivery Order/Merchandise Dispatch Notes and reference with the original customer's invoice, the store keeper shall issue/dispatch the merchandise to the customers after getting name and signature of the customer's representative on both copies of the DO. Then customer's signed copy of the DO shall be returned to accounts for accounting.
- 7.2.4.14 No invoices shall be raised for issuances made against store issue vouchers (SIV) and inter-store transfer vouchers (ISTV). No average cost shall be computed on these documents-average cost shall not be affected.
- 7.2.4.15 Return of goods sold should only be accepted upon the approval of delegated authority and shall be recorded at the average cost of at the time of sales.
- 7.2.4.16 Sales should be recorded net of related deductions such as discounts, returns, sales taxes, VAT, etc.

7.2.5 Selling Procedures

- 7.2.5.1 Sales Invoices should be checked for correctness of selling prices and arithmetical accuracy.
- 7.2.5.2 Where an error has been noted on an invoice, any under

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charge or overcharge is recorded/accounted.

7.2.5.3 Sales analysis shall be prepared by the accounts and summarized.

7.2.5.4 After sales analysis is prepared, transactions shall be coded and posted to the proper sales account of ASER.

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UNIT EIGHT: - COST AND BUDGET

8.1 Costs and Expenses

Detail classification of costs and expenses are provided in the chart of accounts.

8.1.1 Costs (Costs of services and costs of goods sold)

Costs can be classified into finished products costs, imported merchandise costs and services costs like Construction Services Costs. Costs of manufactured products are further classified as prime and production overhead costs.

Prime production costs are direct costs like Direct Materials and Direct Labor costs.

Overheads are other indirect costs used in the production of a product or providing construction services.

8.1.2 Expenses

Expenses are money spent for financing General Administrative Expenses and selling and distribution expenses. Its major classification shall be as follows.

71-101-0001-9999	PERSONNEL COSTS	Expenses
71-102-0001-9999	SUPPLIES AND STATIONERIES	Expenses
71-103-0001-9999	VEHICLE RUNNING COSTS	Expenses
71-104-0001-9999	UTILITIES	Expenses
71-105-0001-9999	CONSULTANCY SERVICES AND FEES	Expenses
71-106-0001-9999	COMMUNICATIONS	Expenses
71-107-0001-9999	FINANACIAL CHARGES	Expenses

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71-108-0001-0000	ADVERTIZING AND PROMOTIONS	Expenses
71-109-0001-	TRAVEL ALLOWANCE AND PRDIEM	Expenses
71-110-0001-	REPAIR AND MAINTNEANANCE	Expenses
71-111-0001-	MARKETING AND DISTRIBUTION	Expense
71-112-0001-	OTHER EXPENSES	Expenses
71-113-0001-	DEPRICIATION AND	Expenses

8.1.3 Internal Control over Costs and Expenses

- 8.1.3.1 Ensure all expense are properly accumulated, classified and summarized in the expense ledger and job accounts.
- 8.1.3.2 Ensure that expenditure coding is properly coded prior to journalizing.
- 8.1.3.3 Ensure expenditure is made from the related operating budget or project budget.
- 8.1.3.4 Ensure all expenditures are included in the year-end reports.

8.2 Budget and Budgetary Control

8.2.1 Definition

- 8.2.1.1 A business budget shall be based on the goals and objectives of ASER's Strategic Plan to be achieved in the budget period and it is a pre-determined detailed plan of actions expressed in monetary value.
- 8.2.1.2 A budget is primarily a planning tool, but it also serves as a basis for performance evaluation and control.
- 8.2.1.3 A budget is prepared for a definite future period usually for

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one budget year.

8.2.1.4 Purpose of a budget is to implement part of strategic plan formulated by management for attaining the given ASER objectives and goals.

8.2.2 Objectives of budgeting

8.2.2.1 It establishes a relationship between current year each activities and long-term strategic business objectives.

8.2.2.2 Budgeting compels managers to think ahead-to anticipate and prepare for changing conditions;

8.2.2.3 Budgeting coordinates the activities of various departments and functions of the business;

8.2.2.4 It increases production efficiency, eliminates waste and controls the costs;

8.2.2.5 It pins point out inefficiencies or lack of it;

8.2.2.6 Budgetary control aims at maximization of profits through careful planning and cost control;

8.2.2.7 It provides a yardstick against which actual results can be compared;

8.2.2.8 It shows management where action is needed to remedy a situation;

8.2.2.9 It insures that working capital is available for the efficient operation of the business;

8.2.2.10 It directs capital expenditure in the most profitable direction;

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8.2.2.11 It instills into all levels of management a timely, careful and adequate consideration of all factors before reaching important decisions;

8.2.2.12 A budget motivates executives to attain ASER's strategic goals;

8.2.2.13 Budgetary control system creates necessary conditions for the introduction of standard costing technique.

8.2.2.14 Budgeting also aids in obtaining bank credit;

8.2.2.15 A budgetary control system assists in delegation of authority and assignment of responsibility and accountability;

8.2.2.16 Budgeting creates cost consciousness and introduces an

attitude of mind in which waste and efficiency cannot thrive;

8.2.2.17 It coordinates the activities of ASER in such a way as to achieve efficient utilization of resources.

8.2.2.18 It enables follow-up of various activities and holding officials in charge responsible for the performance in relation to cost versus results.

8.2.2.19 Sets limit for the expenditure and thereby the operations are controlled and kept on a sound financial basis.

8.2.2.20 Helps in understanding what shall be done and how this shall be done in an efficient manner.

8.2.3 Types of budget

ASER will have the following functional budgets. Functional budget is one which relates to function of the business.

✓ Sales budget;

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- ✓ Production and Construction Services budget;
- ✓ Production Direct Raw materials and Construction Direct Raw Materials budget;
- ✓ Purchase budget;
- ✓ Direct Labor budget;
- ✓ Production overhead budget;
- ✓ Cost of Construction Budget
- ✓ Selling and distribution expense budget;
- ✓ General administration expense budget;
- ✓ Capital (Investment) Budget;
- ✓ Master Budget

8.2.4 Responsibility for Preparation of Budget

- 8.2.4.1 Each Department/work Unit Heads shall be responsible to prepare his work unit's **Operating** and **Capital/Investment** budgets in a respective format provided in this manual;
- 8.2.4.2 Budgeting is the allocation of resources and assigning of responsibilities and accountabilities. Thus, budget shall be developed only for each cost center or profit centers of each responsible and accountable work units using the budget formats.
- 8.2.4.3 Cost Centers/work units shall budget only for EXPENSES which are required to deliver their planned services for the profit centers. These costs are classified as selling or general

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administrative expenses

8.2.4.4 Profit centers shall plan for **Revenue, Costs** and **Profits**.

8.2.4.5 The chart of accounts for each cost or profit centers shall be the budget code and shall be used to accumulate both budgeted and actual costs and used as a point of budget control and performance measure.

8.2.4.6 Capital budget can be prepared by all work units (both Cost Centers and Profit Centers) as required. Capital budget includes purchase of fixed assets and all small and big new investments, expansions, big maintenances, etc.

8.2.4.7 Budget shall be developed by each responsible work units of ASER. However, the coordination, consolidation and budget implementation monitoring shall be the responsibility of Finance Department. The Department will have the following responsibility:

✓ Prepare schedule for budget development (Budget Colander).

✓ Follow-up the timely submission of the work units' budget.

✓ Review the proposed budget with SMT.

✓ Prepare the **Master Budget** (budgeted financial

Reports-Budgeted Balance Sheet, Budgeted Profit and Loss Statement, Budgeted cash flow Statement, etc.)

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- ✓ Submit the master budget for General Manager.
- ✓ Initiate and coordinate budget review by SMT;
- ✓ Insure distribution of approved budget to respective work units.
- ✓ Monitor budget implementation as approved and submit monthly and quarterly budget utilization reports.
- ✓ Coordinate **corporate** budget revision, if required.

8.2.5 Budgeting Process

8.2.5.1 Coordinate the budget preparation Process-Finance Department.

8.2.5.2 Issue directives to prepare budget-General Manager.

8.2.5.3 Review the budget assumptions and financial estimates-SMT.

8.2.5.4 Consolidate the budget estimates approved by SMT-Finance Department.

8.2.5.5 Present the consolidated budget to the General Manager –

Finance Department.

8.2.5.6 Distribution of the approved annual budget and program to the concerned bodies and respective work units – General Manager.

8.2.6 Budget Period

The period usually covered by a budget is one year and follow the accounting fiscal period of twelve months and runs from July 8 of this year to July 7 of next year.

8.2.7 Budget Calendar

The preparation of a budget takes time, and it is necessary to begin early in order to be ready before the budget year starts. In

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order to make the approved budgets ready for implementation effective from the first day of every new budget year, the following due dates for budget call, preparation, review, approval and implementation is set forth.

Description of activities	Responsibility	Deadline for Completion
Budget call with all necessary term of reference-instruction, guidelines, and formats to every work units;	General	April 1-15 of every year
Setting environmental factors, assumptions, system capacity and goals.	SMT Member s	April 16-30 of every year
Budget centers develop their respective plan and resource requirements for the budget year by re-expressing in terms of Sales, Production,	Each work Units	May 1-15 of every year
Each department/work units shall consolidate and submits their proposal budgets to Finance Department;	Each work units	May16-31 of every year
Review work units proposed budget with respective work units;	Finance Dept.	June 1-15 of every
Consolidate corporate budget;	Finance Dept.	
Reviews the consolidated budget.	SMT Members	June 20-23 every year
Approves and distributes the approved budget to SMT members & to	General Manager	July 1 every year
Implementation of the approved budget	All budget holder	July 8 to July 7 of next
Prepare plan implementation and budget utilization reports	All budget holder	Every month and every quarter of the budget yr

8.2.8 Budget Control

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8.2.8.1 Approved budget doesn't mean approval for expenditure.

Approved budget implementation depends on the amount of

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sales and cost reduction and efficiency bases.

8.2.8.2 Any payment or purchase requisition shall be initiated by each work units upon ensuring the availability of budget for disbursement.

8.2.8.3 Any disbursement or purchase requisition should be controlled by the Accounts for the availability of budget and proper approval.

8.2.8.4 If there is unforeseen or unplanned works and expenditures, it shall be approved by the General Manager and covered from contingency budget or budget transfer or approved additional budget.

8.2.9 Budget Transfer and Revision

8.2.9.1 Budget can be implemented by transferring from one-line item to another line item.

8.2.9.2 Budget transfer from capital budget to general administration budget and budget transfer to personnel costs can be made by the authorization of General Manager.

8.2.9.3 Depending on actual conditions, budget shall be revised quarterly.

8.2.9.4 Any emergency budget needed and not covered in the approved budget shall be presented to General Manager for approval.

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UNIT NINE: - PERFORMANCE MEASUREMENT AND REPORTING

9.1 Financial Reporting

9.1.1 Types of Reports

ASER shall produce the following financial reports both for internal and external purposes.

- ✓ Profit and Loss Statement
- ✓ Balance Sheet
- ✓ Cash Flow Statement
- ✓ Notes to the Financial Statements
- ✓ Financial ratios
- ✓ Others as appropriate

9.1.2 Profit & Loss Statement

- 9.1.2.1 Profit and loss statement shows the **financial performance** of ASER for the reporting period/year;
- 9.1.2.2 The Profit and Loss account shows total revenues, total cost of goods sold, total operating expenses and profit tax due for the year.
- 9.1.2.3 Figures in the Profit and Loss shall be supported by details or adequate explanations in the notes to the accounts.
- 9.1.2.4 Comparative figures for the previous period shall be included in the Profit and Loss account;
- 9.1.2.5 The standard format of the statement of Profit and Loss

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shall be shown as an annex to this manual.

9.1.3 Balance Sheet

- 9.1.3.1 Balance sheet shows the financial position of ASER at a specific date;
- 9.1.3.2 The balance sheet shall show summarized listing of all the assets and liabilities of ASER, together with the shareholder's equity as at the reporting date in the order of their liquidity.
- 9.1.3.3 Figures in the balance sheet shall be supported by appropriate details or explanations in the notes to the accounts.
- 9.1.3.4 Comparative figures for the previous period shall be included in the balance sheet.
- 9.1.3.5 The standard format of the balance sheet shall be used by

ASER as shown in the annex to this manual.

9.1.4 Statement of Cash Flow

- 9.1.4.1 This statement is intended to show the cash generated from **operations, investing activities** and **financing activities** and the utilization of it for operating activities, investing activities and loan settlement respectively.
- 9.1.4.2 The Statement of Cash Flow shall show the comparative figures for the previous period.
- 9.1.4.3 The standard format of the Statement of Cash Flow to be used by ASER is included as annex of this Manual.

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9.1.4.4 A Statement of Cash Flows provides information on the cash inflows, cash outflows and the net change in ASER's cash position. Cash items are cash and/or its equivalents. A cash equivalent must be convertible to cash at the investor's option and subject to insignificant risk of changes in value when converted.

9.1.4.5 The Statement of Cash Flow assists the understanding of:

- How much cash has been generated in operating activities;
- How much cash has been invested (or divested) from investing activities;
- The net cash flows from financing activities; and
- The ability to meet financial commitments as they fall due.

9.1.4.6 The reconciliation of the cash flows from operating activities should be to the net result plus capital injections for operations.

9.1.5 Notes to the Financial Statements

9.1.5.1 The profit & loss statement and balance sheet rarely exceed one page each. Most of the detailed information in this financial report are provided in the notes that accompany the main statements. The notes also explain circumstances that enhance the comprehensive understanding of the financial statements;

9.1.5.2 Among others, a summary of accounting policies should be included in the Notes to the Financial Statements.

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Disclosure should include:

- ✓ A statement as to whether the financial report has been prepared in accordance with the **International Financial Reporting Standards (IFRS)**;
- ✓ A description of the measurement basis or **bases used in preparing** the financial report; and
- ✓ A description of each **specific accounting policy**

that is necessary for an understanding of the financial report.

9.1.5.3 Where there is a change to an accounting policy in the current period, the Notes to the Financial Statements has to disclose:

- ✓ The nature of the change;
- ✓ The reason for the change and the financial effect of the change;
- ✓ The amount of any adjustment recognized as a revenue or expense in the reporting period, or made to the opening balance of accumulated results; and
- ✓ The amount of the adjustment relating to prior accounting periods, including where practical a restatement of comparative information and details of the amount of the adjustment relating to reporting periods prior to those included in the report.

9.1.5.4 Where a change in accounting policy made in the prior

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reporting period did not have a material effect in that reporting period, but does for the current period, the following is to be disclosed:

- ✓ The nature of the change;
- ✓ The reasons for the change;
- ✓ That the change was made in a preceding period; and
- ✓ The financial effect of the change in the current reporting period.

9.1.5.5 A sample of 'Notes to the Accounts' is annexed to this Manual.

9.2 Performance Measurement & Analysis

9.2.1 Common-Size Analysis

9.2.1.1 The balance Sheet and the P & L Account can be presented in Birr amounts and then standardized as percentages. In common-size analysis, all balance sheet items are stated as a percentage of total assets and all P & L account items as a percentage of sales or total revenue. Abbreviated financial statements for several years and across major competitor companies can provide a useful overview of the operating performance and financial health of ASER.

9.2.2 Financial Ratios

9.2.2.1 Purposes of ratio analysis:

9.2.2.1.1 Ratio analysis is used for:

- ✓ Diagnosing the situation of a business or parts thereof;
- ✓ Monitoring the performance of a business and its segments;

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- ✓ Planning the future of a business (corrective action).

9.2.2.1.2 Central to financial analysis is the calculation of ratios.

Ratios are instruments of comparison and are used to compare the Company's performances of different periods, or to compare the Company's performance and position with Competitors or with the average industry performance. They are, therefore, indicators of weaknesses, stability and strength.

9.2.2.1.3 Three significant points relate to ratio analysis:

- ✓ Most ratios overlap, so a red flag in one area will likely relate to red flags in other areas;
- ✓ a thorough ratio analysis must be done, although most ratios end up in a normal range that needs little further analysis; and
- ✓ The importance of specific ratios differs based on the objectives of the financial analysis.

9.2.2.1.4 Depending on the types of report and area of concentration, various ratios could be calculated, but, generally, the following ratios might be of special interest to all business Companies' management

9.2.2.1.5 **Profitability ratios:**

- ✓ Gross profit margin
- ✓ Operating profit margin

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- ✓ Net profit margin
- ✓ Return on total assets
- ✓ Return on equity

9.2.2.1.6 Liquidity ratios

- ✓ Current ratio
- ✓ Quick ratio
- ✓ Inventory to net working capital

9.2.2.1.7 Leverage ratios

- ✓ Debt-to-assets ratio
- ✓ Debt-to-equity ratio
- ✓ Times interest earned

9.2.2.1.8 Activity ratios

- ✓ Inventory turnover
- ✓ Fixed assets turnover
- ✓ Total assets turnover
- ✓ Accounts receivable turnover

9.2.3 Identification of Relevant ratios

9.2.3.1 The selection of ratios should be determined by the objectives of the organization. A key ratio should be selected which provides an overall assessment of how well that objective has been fulfilled. The further selection of ratios should then be based upon the identification of the factors that affect the attainment of the key objective.

9.2.3.2 Ratios should be logically inter-related and measure material factors showing major impacts on the operations

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of the company.

9.2.3.3 A ratio should be capable of being subject to management action.

9.2.3.4 Ratios taken out of context can be meaningless or misleading;

9.2.3.5 Ratios should be linked into the interpreting of a

Company's financial position and performance.

9.2.4 Criteria for Evaluation of Ratios;

9.2.4.1 Ratios very rarely mean a great deal in isolation. It is very difficult to tell whether a ratio is 'good' or 'bad' without some basis for comparison. Ratios require to be compared with both internal and external standards to determine whether or not they are satisfactory.

9.2.4.2 Internal standards include the Company's own past performance and budgets & forecasts.

9.2.4.3 External Standards include financial accounts obtained from similar companies, trade Association statistics, Government statistics, inter-factory comparisons, industrial performance analysis.

9.2.4.4 Care should be taken in using external standards as comparability may be lacking due to difference in accounting policies adopted. In some cases, trend information could be more relevant than the external comparisons because the Company may not be directly

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comparable with competitors or even averages.

9.2.5 Computation of key financial ratios

9.2.5.1 Gross Profit Margin

This is an indication of the total margin available to cover operating expenses and yield a profit. It is expressed as: - **Gross profit margin=Gross profit/ sales**

The ratio is important as it can indicate a fall in the demand for a product (i.e. reduction in selling prices) or any increases in the direct costs of sales. Further, it may show up possible errors in the closing stock valuation.

9.2.5.2 Operating Profit Margin

This measures the Company's profitability from current operations without regard to the interest charges accruing from the capital structure. The margin is calculated as follows:

Operating profit margin = PBIT/ Sales

The net profit ratio will assist in the control of overhead

costs and lead management to question individual items of expenditure. If margins are falling, management can respond if the information is available on a monthly basis.

9.2.5.3 Net profit margin

This ratio shows after tax profit per Birr sales, and is expressed as follows:

Net Profit Margin = Profit after tax/ Sales.

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9.2.5.4 Return on total assets

This is a measure of the return on total investment in the Company. The return is expressed as: -

$$\text{Return on total assets} = \text{PBIT} / \text{Total assets}$$

9.2.5.5 Return on equity capital

This is a measure of the rate of return on shareholders' investment in the Company. It is calculated by the following formula:

$$\text{Return on equity} = \text{Profit after Tax} / \text{Total shareholders' equity}$$

9.2.5.6 Current ratio

This ratio indicates the extent to which the claims of short- term creditors are covered by assets that are expected to be converted to cash in a period roughly corresponding to the maturity of the liabilities. It gives management an insight into any potential liquidity problems.

$$\text{Current Ratio} = \text{Current assets} / \text{current liabilities}$$

9.2.5.7 Quick ratio

This is a measure of the Company's ability to pay off short-term obligations without relying on the sale of its inventories.

$$\text{Quick ratio} = (\text{Current assets- inventory}) / \text{Current liabilities}$$

9.2.5.8 Inventory to net working capital

This ratio is a measure of the extent to which the Company's working capital is tied up in inventory.

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Inventory to net working capital = Inventory/ (Current assets - Current liabilities)

9.2.5.9 Debt to asset ratios

This measures the extent to which borrowed funds have been used to finance the Company's operations.

Debt- to- asset ratio = Total debt / Total assets

9.2.5.10 Debt to equity ratio

This ratio provides another measure of the funds provided by creditors versus the funds provided by owners.

Debt- to- equity ratio = Total debt / Total shareholders' equity

9.2.5.11 Times-interest-earned

This ratio is a more inclusive indication of the Company's ability to meet all of its fixed- charge obligations.

Times-interest-earned = PBIT/ Total interest charges

9.2.5.12 Inventory turnover

Inventory turnover provides an indication of whether the Company has excessive or perhaps inadequate finished goods inventory. Any decline in the ratio could mean that product lines are not selling or that there is obsolete stock in hand.

Inventory turnover = Sales / Inventory of finished goods

9.2.5.13 Fixed assets turnover

Fixed Assets Turnover is a measure of the sales productivity and utilization of plant & equipment?

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Fixed asset turnover = Sales / fixed assets

9.2.5.14 Total assets turnover

This is an indication of the utilization of all the Company's assets.

Total assets turnover = Sales/ total assets

9.2.5.15 Debtors turnover

This ratio is a measure of the average length of time it takes the Company to collect the sales made on credit. **Debtors**

turnover = (trade debtors*365)/sales

9.2.6 Growth Analysis

9.2.6.1 Growth analysis considers growth rates in Birr and growth rate percentages, especially for operations. An understanding of the relationship of earnings to revenues and expenses is important because they are indicators of sustainability of earnings growth rates.

9.2.6.2 Balance sheet changes and growth rates, which are important for investment and credit decisions, provide information on sustainability of operating performance and indicators future problems and risk.

9.2.6.3 Several techniques can be used to analyze growth rates.

First, as with the common-size analysis, the relevant numbers can be presented in a table. Alternatively, information can be presented as graphs or bar charts.

9.2.7 Trend Analysis

9.2.7.1 This is a variation to the growth analysis that uses the

earliest year as the base year

9.2.7.2 In trend analysis, the base year numbers are set equal to 100 and the remaining numbers are calculated relative to that base.

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